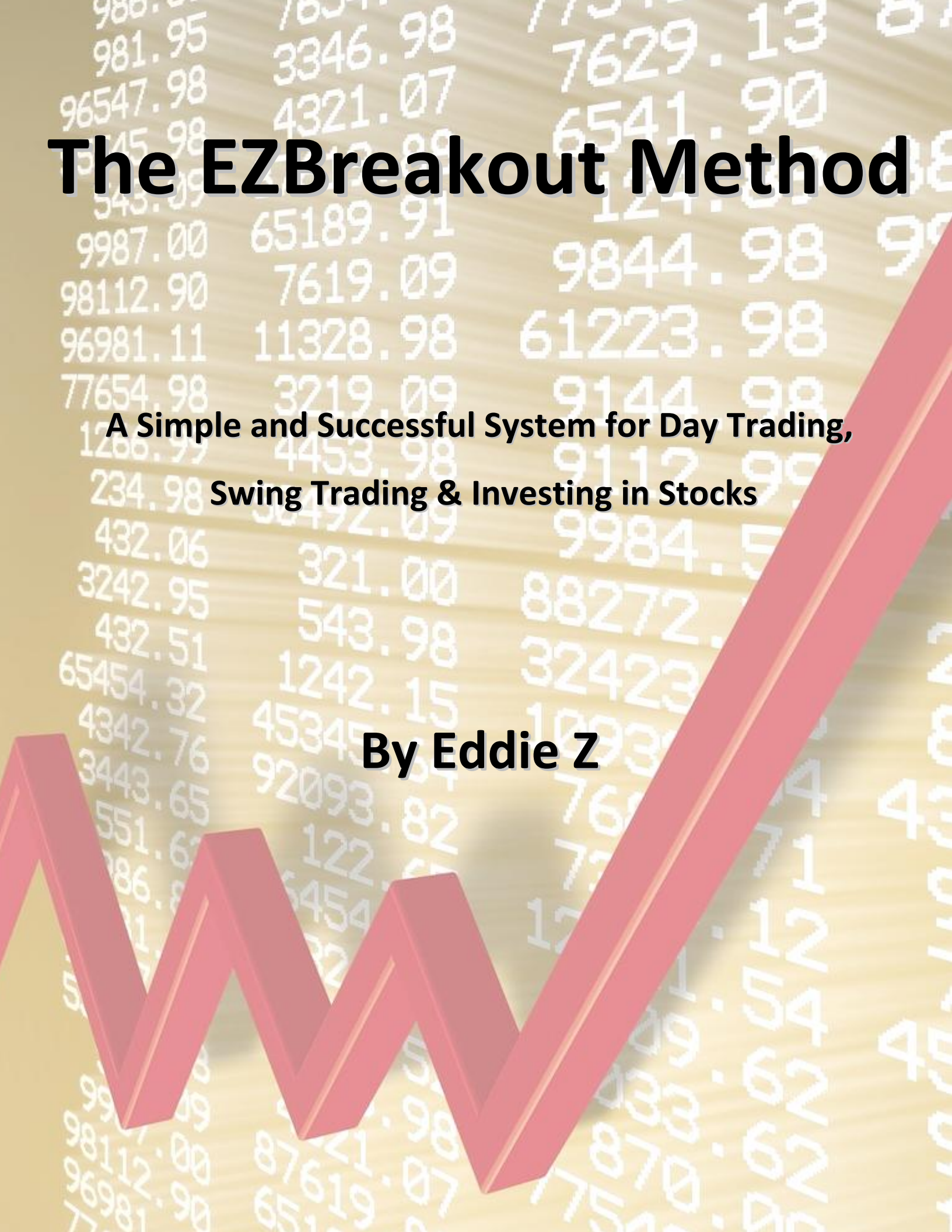


The EZBreakout Method

**A Simple and Successful System for Day Trading,
Swing Trading & Investing in Stocks**

By Eddie Z



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Introduction

What is Day trading?

Generally stated, day trading is the practice of buying and selling financial instruments (stocks, bonds, commodities, futures, etc.) within the same day, so that all positions are closed out by the time the market closes. Day traders seek to make profits by leveraging large amounts of capital to take advantage of small price swings.

What is Swing Trading?

Swing Trading is the practice of buying and selling financial instruments (stocks, bonds, commodities, futures, etc.), whereby the instrument is bought or sold at or near the end of an up or down price “swing”, caused by daily and weekly price volatility. Generally, these trades last longer than a day, but are shorter than typical “buy and hold” strategies.

Why Trade Stocks?

If you are anything like me, then the attraction of trading comes from:

1. The opportunity to make a lot of money: Let’s face it, successful traders make a lot of money and experience a tremendous level of financial freedom. Chances are, the main reason you purchased this ebook is to make more money.
2. The ability to be your own boss: I have always been the kind of person who hates being told what to do. I never liked having a boss, being at the mercy of someone else or being told where to be and when to be there.
3. Reaping the rewards of your own work: Do we ever seem fairly compensated working for others?

4. Excitement of being in the Game: There is something exciting and rewarding about surfing the waves of the market cycles (and not wiping out!).
5. The Ability to work from anywhere.

Who Am I?

My name is Eddie Z and I am a day trader. I think it's important for you to know a little about my history and experiences in the markets, so that you can feel comfortable with me, know where my passion comes from and, more importantly, realize that I have already been through the pain of the trial and error process when it comes to trading stocks. (Eddie Z is how I am known in the Trading Computer world. My real name is Russ Hazelcorn.)

My realization that trading was something REALLY exciting started in the mid 1970s. I was 7 years old and my father would take me to work with him. My dad was a commodity futures trader on the floor of the New York Mercantile Exchange (NYMEX). I was mesmerized by all the people huddled in a circle screaming and shouting and getting very carried away. People were shouting out numbers while other people were writing numbers on huge chalkboards. There was an immense energy that I could already feel even at a young age.

As I got older, my dad taught me how to draw point and figure charts using a pencil and graph paper. He even explained some of the chart formations and how he could use these formations to predict what would happen next. That is how he made a living. It was so different from what my friends' dads were doing and I thought it was so cool. I became completely fascinated with charts and graphs.

I didn't realize until deep into my own career that my dad was one of the purest "day traders" and "swing traders" of his time. Day trader and swing trader are terms that have only been coined in the last 10 to 15 years with the introduction

of online electronic trading. My dad drew charts by hand and stood in the pit and traded for his own account. Talk about old school original!

My first full-time job on Wall Street started in 1987 on the floor of the NYMEX; the Monday after I graduated high school. One of my responsibilities was keeping charts up to date for the brokers I worked for. Within a few years, charts were generated by computerized charting services and the art of hand charting was lost forever. I spent every summer, Christmas break and spring break, all the way through graduate school, working on the floor of the NYMEX.

The best memory I have from those times was working for a guy in the crude oil pit. The date was January 15th, 1991 and Tariq Aziz, one of Saddam Hussein's right-hand men, came out of a meeting with US diplomats at the UN. The deadline had expired for Iraq to withdraw from Kuwait. When no deal was announced, I watched as crude oil went from about \$27.00 a barrel to over \$40.00 a barrel within 2 minutes (this type of move was unheard of at the time!). The trading pit went absolutely berserk! The guy I was working for made over \$100,000 that day! A number I will never forget. By the way, oil dropped back into the \$20s the next day.

In the early 1990s, I became fascinated with stocks and decided to become a stockbroker. In the 1990s, it was fairly easy to pick stocks. You really didn't have to know about charts (or any fundamentals for that matter). Usually, if you held a stock long enough it worked! Especially anything related to technology. Additionally, I was fortunate enough to participate in the very early stages of the dotcom boom. Finding new investors was a breeze. People become "accustomed" to the bull market that began in 1982 and really wanted brokers' ideas. The 1990s was truly an amazing time for stocks. It was not uncommon to see stocks double and triple over a very short period of time.

When the bubble burst in March of 2000, I was actually on my honeymoon in Hawaii. I had gotten all of my clients out of the market just before I left, so that I wouldn't have to worry about their accounts while I was gone. The preceding 6 month period from October 1999 to March of 2000 was like nothing I had ever

seen before. Stocks exploded! I was buying stocks for clients at 9:45 AM and selling them 10% to 25% higher by 3:00 PM. I was doing more commission in a day than I did in a month just 5 years earlier! I was getting referrals left and right. The phone rang off the hook. Believe it or not, people were taking cash advances on credit cards to buy stocks. It seemed too good to be true....and it was!! I was no genius for getting my people out. I just didn't want to think about it while I was away. When I came back, I thought the correction was over and got my people right back into the market. Yikes!

Over the next 9 months to a year I battled the stock market to no avail. I lost clients' money. In some cases, clients were down as much as 70%!!! I knew I had to do something, so I went to the library (yes we still went to the library in those days!) and started reading every book on the stock market I could get my hands on. Even though I have an MBA, my knowledge at the time had no basis in market cycles.

I studied everything you could think of in regards to the stock market: historical market cycles, Peter Lynch, etc, but the one book that stuck out the most was "How to Make Money in Stocks" by William O'Neil. No one could explain the gyrations of the markets better over the years than O'Neil could. His book was based on facts and research, and most importantly, the main focus of his system is charts! Duh! Charts!!!! As soon as I began reading this book I knew EXACTLY what I needed to do. I managed to get all of my clients out of the market in early 2001 and saved my business. Additionally, my passion for charts was reinvigorated.

Over the next two years, I watched as the brokers around me dropped like flies. 90% of the guys I knew at the time are out of the business today.

As I read the book "How to Make Money In Stocks", I realized that this simple to read book would become my bible. All I needed to do was be patient, study and follow the system as O'Neil laid it out.

When the new bull market began in March 2003, I began to slowly tip-toe back into stocks to test out O'Neil's system. After a few months, I realized that the system worked and my clients began making money again.

As time went on, I began to apply the system to my personal account with great success. At some point in the learning curve, I realized I could make a lot more money trading for myself than worrying about other peoples' money. At last, no more hand holding!

Essentially, what I have done is taken the foundation out of the O'Neil system and added further precision in terms of buy points and sell points. Over time, I built a new set a rules on top of O'Neil's; adapting it to a shorter term method. My experience has shown much higher rates of return and much shorter time in positions. In fact, I rarely keep a stock overnight and I no longer worry about what happens around the world when the US markets are closed. I sleep much better!

The Purpose of this Ebook

The purpose of this Ebook is to give you a simple method for ***making more money*** in the stock market. In the following chapters, I will explain how my system, the EZBreakout Method, works. I will try to give you all the tools you need to find quality stocks ***before they run*** and give you a method to ***sell them quickly***, at a profit. ***Much more detailed information, descriptions, step by step instructions and examples are available in the videos that are part of the [complete EZBreakouts package](#).***

The goal of this book is to teach you how to:

- Make a list of the stocks that have the highest possibility of breaking out
- Buy these stocks as close to the exact buy or "breakout" point as possible
- Sell these stocks after their initial or secondary burst

Sound good? Let's get started!

Chapter 1: Where to Start

Chances are that if you are here reading this book, you have a strong interest or passion for the stock market, have at least 1 online trading account and have had some successes and failures in your trading. Regardless of whether or not you have traded before, **the very first place you should start in understanding this method is to read the book “How to Make Money in Stocks” by William O’Neil.** I consider this book to be the bible of trading. There is simply no better explanation of why stocks move the way they do. You may be thinking, “I am successful trader, why do I need to read that?”. The answer is that you will become even better!

I can’t overemphasize the importance of this book. **The entire EZBreakout Method can find its beginnings in the William O’Neil system;** especially his approach to charting and what he calls “Relative Strength.” So if you have never read this book I recommend you go to Amazon or Barnes & Noble and get a copy....**READ THIS BOOK....**The truth is that you don’t know anything about the psychology and workings of the stock market until you read this book.

I want to make it clear at this point that my “Breakout” points are different than O’Neil’s. One of the great benefits to the way I read the charts is that my system tends to get you in a trade a little bit earlier. Additionally, EZBreakouts is geared towards day trading and swing trading. O’Neill takes a longer term perspective.

Chapter 2: Overview of the EZBreakout Method

Here is an outline of the methodology. We will go over each step in the chapters that follow (*with much more detail in the [EZBreakouts Video Course!](#)*):

1. Know the General Market Direction...This will increase your probability of success.
2. Develop a list of stocks that have the highest probability of “breaking out” and continuing higher, based on the EZBreakout Method criteria described in this Ebook.

The term Breakout means when a stock price pierces or breaks through a resistance point of a very specific price pattern, preferably on heavy VOLUME (more on this later).

3. Narrow the list down by examining the charts of each stock, looking for exact price patterns. We are looking for the **PERFECT CHART SETUPS**. Find exact breakout entry, buy points and set price alerts. (Note: the terms “breakout”, “breakout point” and “buy point” will be used interchangeably going forward in this Ebook).
4. Buy stocks that trigger breakout alerts on VOLUME as close to exact buy points as possible.
5. Sell according to sell rules.

6. Repeat.

>> By the way, I do all of the work and find the potential breakouts for you at
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Chapter 3: Knowing the General Market Direction

Knowing the general market direction is ***critically important***. The bottom line is this: Most stocks follow the general direction of the market. In a bull market cycle, *most stocks* will hold their own or rise. In a correction or bear market cycle, **NEARLY ALL STOCKS** will fall. And stocks tend to fall much faster than they rise.

It doesn't matter how good a stock's fundamentals are or how well the stock has been accumulated over the last several months. Make no mistake, **bear markets and corrections can be brutal**. A great case in point would be Apple (AAPL: Nasdaq). In the brutal bear market of '08-'09, AAPL fell close to 60% in value, even though the fundamentals never changed. I am sure you can think of a few stocks that did the same!

In bull markets all the cream rises to the top AND KEEPS RISING! In bear markets EVERYTHING pretty much comes down.

Now as a trader, I make no distinction between "long-term" bull and bear cycles or what the talking heads on TV love to call "Secular Bull" or "Secular Bear" markets. Stocks are either in up-trends or downtrends, PERIOD.

What you need to know is that in a bull cycle, breakouts work with a very high probability (70% +). In bear cycles, breakouts can still work, but the probability of success is lower.

When the market is in a bear cycle or correction, buying breakouts can be riskier. Generally speaking, in a bear cycle, you want to be very careful; keeping positions smaller and stop loss orders tighter

There is a big secret to determining the market's direction with ease! See the EZ Stockpile Saving System video course for the this Big Secret!

Chapter 4:

Develop a daily list of stocks that have the highest probability of breaking out

The main tools I use to develop these daily lists are the Investor's Business Daily (IBD - O'Neil's newspaper), www.investors.com and www.dailygraphs.com and the newer <http://www.marketsmith.com> (O'Neil's premium product). The www.DailyGraphs.com website offers a 14-day trial for \$19.95. The site itself runs \$999.00 per year. For me as a trader, these tools are invaluable.

The main goal of building these lists is to isolate the top 5 to 20 stocks that will give you the ***highest probability of making money, very quickly***, on any given day. We want to keep these lists as short as possible by eliminating stocks that don't have all or most of the exact criteria listed below. We don't want second rate stocks and we don't want to get creative and try to fit stocks to the criteria. It's actually easier to ***focus on fewer stocks***.

The first step in creating this list is to isolate the stocks that meet certain fundamental and technical criteria.

From my experience over the last 9 years using this system, Relative Strength (RS), as O'Neil calculates it in *IBD* and "How to Make Money in Stocks", is the ***single most important indicator*** when developing a list of potential stocks to trade. O'Neil defines RS as a measure of a stock's price performance over the last twelve months, compared to all stocks in the *IBD* database. I like to think of RS in terms of physics: "***A stock in motion tends to stay in motion***" and RS is a measure of that motion. A stock with an RS of 90 means that it is outperforming 90% of all stocks in the *IBD* universe (over 3000 stocks). All things being equal, a stock with an RS of 95 during a strong bull cycle is going to greatly outpace the market as a whole.

RS is where I start every evening creating my list. The complete EZBreakout Method criteria are as follows:

- Relative Strength (RS) over 83. From my experience, stocks with an RS over 83 have the highest probability of following through on their breakouts. The higher the better.
- Stock Price \$12.00 to about \$120.00. Over the years I have found that cheaper stocks can give false signals and have less institutional support. This doesn't mean that they don't work, ***but from experience the probability of success is lower***. Also I have found that the more expensive a stock gets, the more difficult it becomes to manage the trade. Expensive stocks can and do work, however, we want to make trading as easy as possible. Somewhere between \$18.00 and \$75.00 is really the sweet spot.
- Stock Price needs to be within 15% of the 52 week high or, even better, **the all-time high**. Stock trading 15% off their high or below tend to have too much overhang to really get going. There are still too many people who

own the stock just above the market price who want to get out because they are finally “even”.

- Stock Average Daily Volume over 250,000 shares. Quite frankly, the more the better. Liquidity is a key factor in day trading. You can really get burned trading stocks that have low average volume. More about this in the Special Report on VOLUME.
- Industry Group needs to be ranked either A, B or C by *IBD*. My experience has proven that industry is second in rank to RS in terms of importance. Stocks of the same industry tend to move together.
- Generally speaking, we want smaller size companies. Stocks with less than 100 million shares outstanding and less than \$10 billion market capitalization. The smaller the float and capitalization the better.

Using these criteria and my tools, I usually come up with a list of about 100 stocks (assuming we are in a bull cycle). This is only the first step.

The second step, AND MOST IMPORTANT step of list development, is to analyze each stock chart in the list and find the stocks that have the ***perfect patterns or setups***. This is the real work. We are looking for the stocks with the highest probability of a **“breakout” the very next day!**

>> By the way, I do all of the work and find the potential breakouts for you at
www.EZBreakouts.com <<

Chapter 5:

Isolate the best charts on the list and determine the exact breakout point

Chart reading is where the fun (and work) really begins. It is a skill that takes time and patience to develop. But when you break it down into several steps and several key patterns, it can become much easier. Our goal in chart reading is to ***narrow the list down to the very best chart setups***. Really, we want to concentrate on the PERFECT SETUPS. I will list each step here and then explain each step in much greater detail.

1. Start with the **Daily Charts**, looking for the 4 main chart patterns:

- High Handles
- Cup & Handles
- Flat Bases
- Double Bottoms

If you find one of these patterns, move to Step #2. ***If one of these patterns has yet to form, DELETE the stock from your list.***

2. From the daily chart, click to the **60 Minute Chart** looking for a Cup & Handle, Flat Base/Trend line or Double Bottom patterns ***embedded in what would be the handle area visible on the Daily Chart***. If one of these exist, note obvious buy points, if any. Again, if you can't see a clear pattern, then DELETE the stock from the list (at least delete the stock for today as it might setup up in a few days or next week!).

3. If the chart looks good, but you still can't isolate the obvious buy point, then move to the **15 Minute Chart** and/or the **5 Minute Chart** or even the 1 Minute chart to locate it with more precision.

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Let's go through each of these chart patterns in depth:

The Daily Charts:

The first place we start looking is at the Daily Charts (that is the chart where each bar represents one day), specifically looking for the following formations:

1. Cup & Handle
2. High Handle
3. Flat Base
4. Double Bottom

I will start with the Cup & Handle, since it is the most important formation and where most initial momentum in stocks start. However, it is really what I call the **HIGH HANDLE** that has the most opportunity for trading. Generally, you will locate more High Handles, than other formation when going over your list (in a confirmed market up-trend). High Handles are, by definition, a pattern that has already broken out from a Cup & Handle and is in the midst of strong institutional accumulation (more on institutions later).

1. The Cup & Handle: Perhaps the most common and reliable chart pattern is the Cup & Handle. The basic shape and definition can be found in O'Neil's book "How to Make Money in Stocks". The most important feature of the Cup & Handle is the

descending handle. **The best looking handles descend where volume tends to dry up.** Just remember that the best handles form within a few percentage points of the all-time high. A handle that forms lower than 15% below the 52 week high or all-time is much more prone to failure. Let's quickly take a look at a few Cup & Handles that formed in the 2009-10 up-trend :



After the cup formed in January, the EZBreakout Method followed Riverbed (RVBD: Nasdaq) as it formed its 1 month long descending handle. After a week or so of descending, the chartist, **to determine the proper buy point**, draws a **trend line**, connecting the tops of the handle area. A move through the line on

VOLUME is considered to be the breakout point (this is where I differ with O'Neil). This piercing of the line is the buy point. The precise buy points can sometimes be seen better by zooming in on the 60, 15, 5 or even 1 Minute Charts. More on the importance of the 60 Minute Charts later.



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China Yuchai Intl (CYD: NYSE) completed a very tradable cup & handle in April of 2010. The stock initially tried to breakout of a faulty and short 3 day handle, but if you look closely, you can see it had light VOLUME (there is an entire chapter

dedicated to the importance of VOLUME) which is not a characteristic of a good breakout. CYD then formed a very nice 9 day handle and broke out on VOLUME. Again precise buy points can be better ascertained by examining the 60, 15, 5 and even the 1 Minute Charts.



This next chart we will look at is Valassis Communications (VCI: NYSE). VCI formed a beautiful Cup & Handle and broke out in January of 2010. You will notice that there was false breakout in December (Xmas week) on no volume. The key to proper handle formation (the yellow squared area) is the drying up of volume.

Volume was 70-80% below average on VCI in the handle area. When Volume came back, the stock exploded. VCI was a very good trade for all types of traders.

It is very important to understand the formation of the Cup & Handle, not only for Daily Charts, ***but even more so for 60 Minute Charts***. We will be going over 60 Minute charts in the next Chapter.

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Now, let's examine High Handles.

2. The High Handle: High Handles ***are a trader's bread and butter***. I can't overemphasize this point. It is easier to spot High Handles AND there are more of them (in confirmed up-trends) than just about every other chart pattern on the Daily Charts. The bottom line is that High Handles offer the **MOST OPPORTUNITIES for traders**.

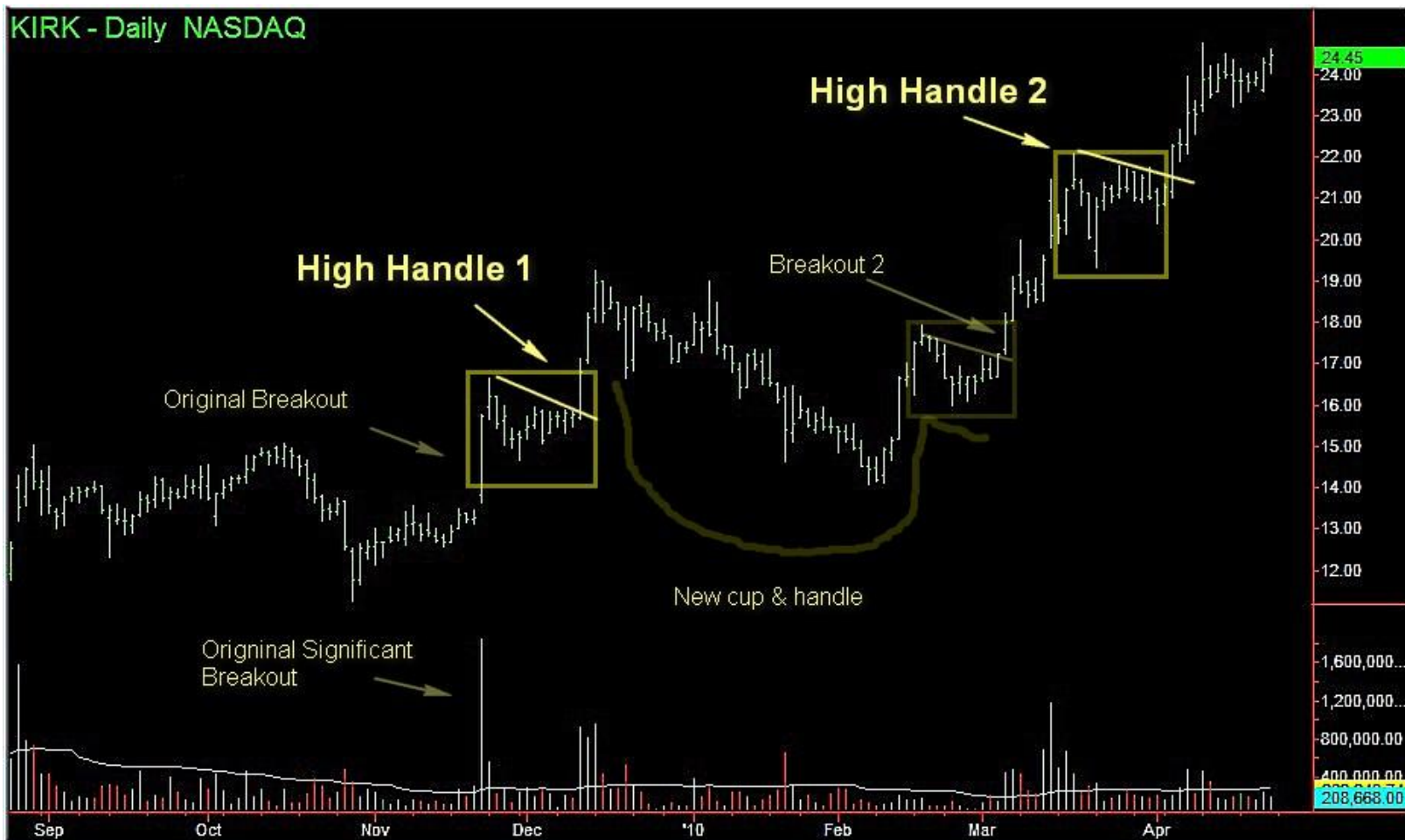
A High Handle is, by definition, a handle that has formed after a significant breakout. The High Handle has a very gradual sideways decline of less than 15% or so (the tighter the trading in this area, the better), from the recent high to low, in average to lower than average volume. (Some chartists might refer to this pattern as a "bull flag").

A High Handle forms as institutions pause from their accumulation of a stock or when they put in a fixed price bid and accumulate as much as they can in a specific price range. When they are unable to accumulate a sufficient number of shares in the fixed bid range, they start to move up bids (and price!). High handles take anywhere from 4 days to 4 weeks to form (a Flat Base takes about 5 weeks).

Again, to determine the proper buy point on a High Handle **OR** a handle in Cup & Handle, **draw a trend line across the tops of the handle area after about 4 or 5**

days of trading. In addition to drawing this trend line, *analysis of the 60 Minute Chart of the handle area* (while the handle is being formed) *can give you the best possible buy point.* It is very common to see Cup & Handles form on the 60 Minute in the handle area. More on this later.

Let's look at Kirkland's (KIRK: Nasdaq)



KIRK made a series of tradable areas starting in December 2009. After KIRK broke out to a multi-year high in November 2009, it proceeded to form a perfect High Handle. When volume came back in, KIRK exploded on a 3-day run. KIRK then formed another Cup & Handle and broke out again in March 2010. After its initial move it formed another perfect High Handle and ran again.

In the above chart, ***notice the shape of the handle areas, including the Cup & Handle. Notice how handles have a very similar shape.*** It is important to learn the various subtle shapes of handle areas. Characteristics of perfect handles and High Handles include:

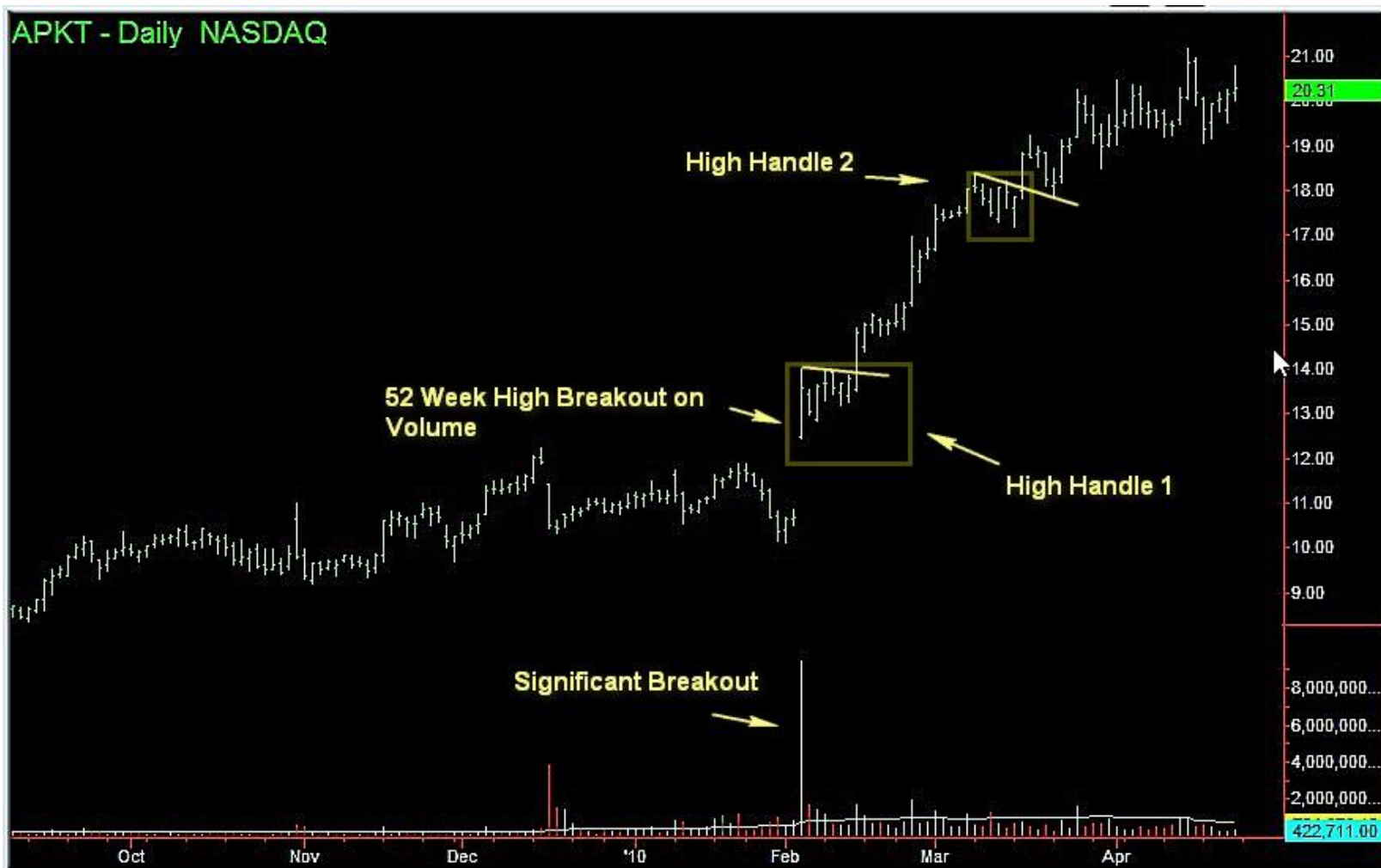
- Tight Trading Ranges
- Declining Volume, especially right before next breakout
- Breakout comes on high VOLUME
- Shape declines down and to the right. Upward sloping wedges are faulty and tend to fail
- On a 60 Minute Chart the handle area will form a Cup & Handle, Declining Trend line Flat Base or even a Double Bottom (again, more on 60 Minute charts later)

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Here is Veeco Instruments (VECO: Nasdaq):



After VECO broke out to a multi-year high in September 2009 (not pictured on chart), it formed multiple tradable High Handles. VECO offered MANY opportunities for trading as the stock was being accumulated in high VOLUME. Notice how most of these handles drift down at about the same angle. VECO became a day trader's delight!



Acme Packet (APKT: Nasdaq) also offered several High Handles for trading in early 2010.

In summary, the points about High Handles that I want you to remember are:

- ✓ They are common and easy to spot on Daily Charts during bull cycles.
- ✓ They are a trader's bread & butter and have a very high probability of success.
- ✓ You need to learn and study the subtle characteristics of proper handle formation.
- ✓ Further analysis of the 60 Minute Chart is required to determine the best buy point.

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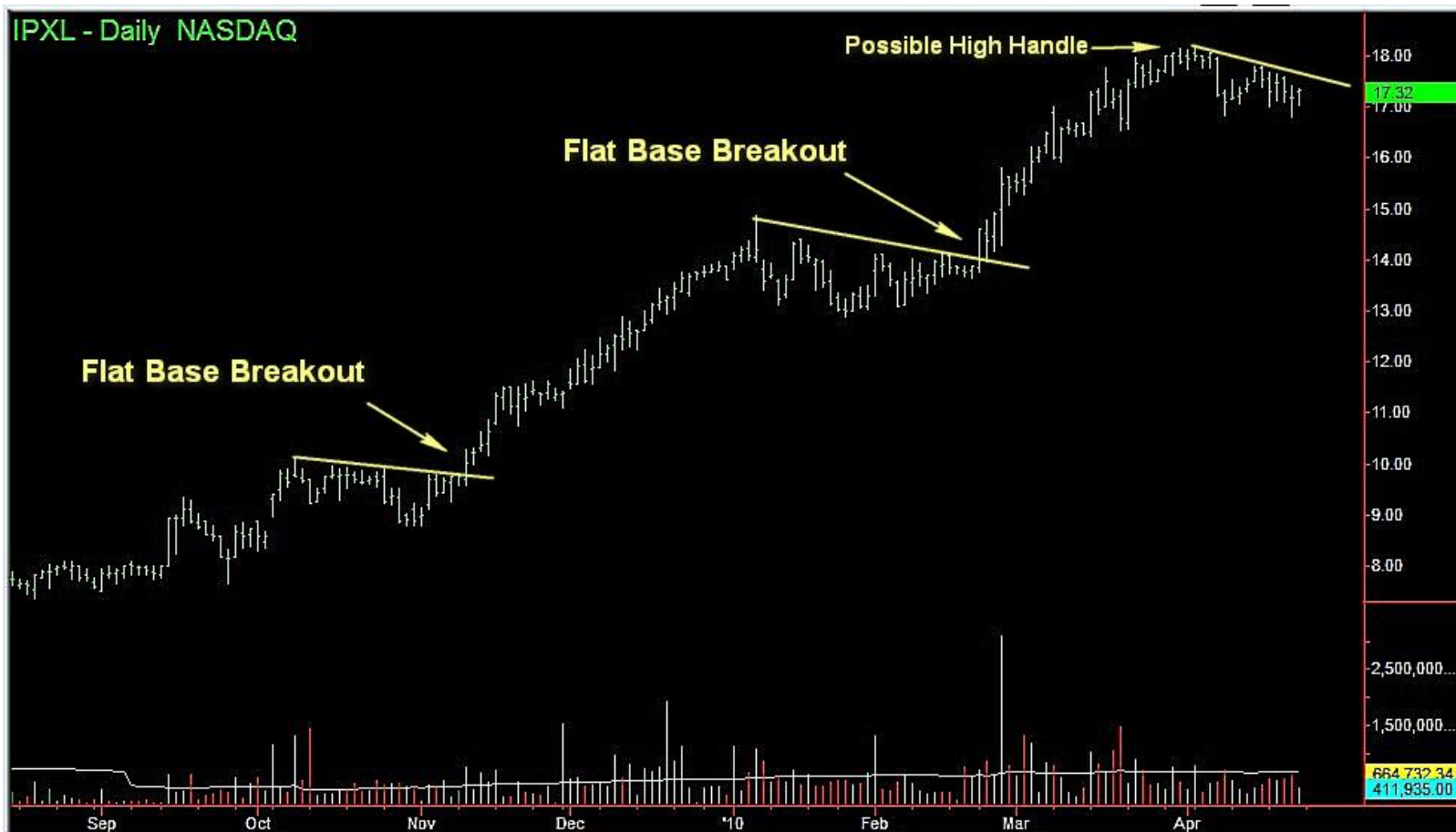
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3. The Flat Base. The main characteristic of the Flat Base is obvious: they are flat! Flat Bases can lead to very powerful breakouts and can be quite profitable. Price action in a flat base is tight and is no more than about 15% from the high to low. Quite frankly, a Flat Base could be described as a long handle. Here are a few flat bases from the 2009-10 bull market:



Cree Research (CREE: Nasdaq) made a series of flat bases, going back to July 2009. As you can see, these flat bases lasted at least 5 weeks and led to a significant price advance. The term “Flat” can be a bit of a misnomer, as Flat Bases tend to slant down to right. To get an exact buy point, you would do some zooming in the 60 Minute, 15 Minute and 5 Minute charts. On those charts, you would be looking for a clear trend line or a Cup & Handle. If you were following the O’Neil system exactly, you wouldn’t buy a stock until it was .10 above the highest point of the base. **If you use the EZBreakout Method, you and I will already have a nice profit by then!**

Two more Flat Base examples below, Impax Labs (IPXL: Nasdaq) and IMAX (IMAX: Nasdaq), and then let’s get into the 60 Minute Charts:

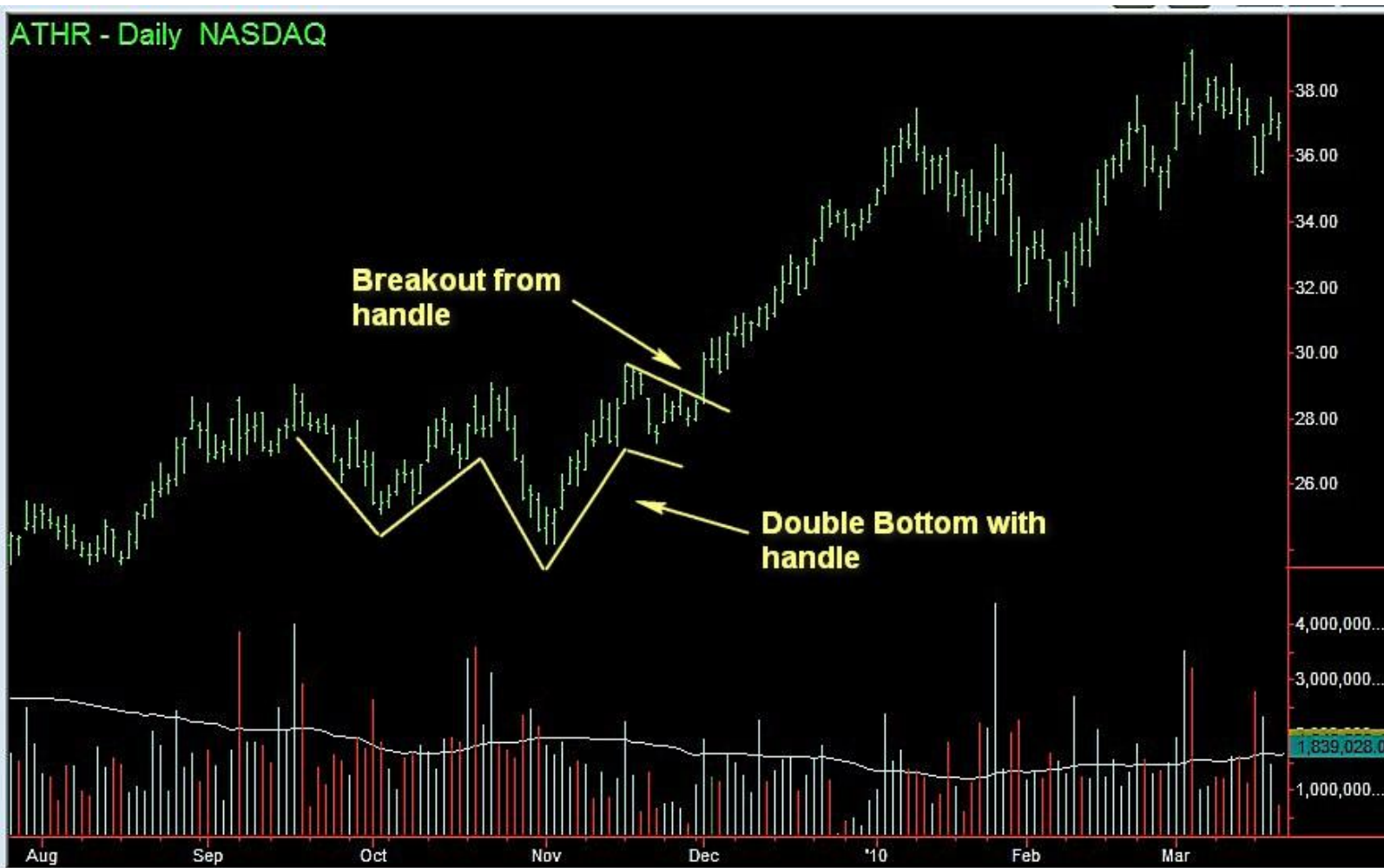




4. Double Bottoms: A Double Bottom essentially looks like a large W with the *right bottom slightly lower than the left bottom*. I will just include two charts of a Double Bottoms on a daily for study here. Double Bottoms do happen, but are rarer to find them on Daily Charts. **However, we do find them on 60 Minute Charts!** I do recommend you study the Double Bottom pattern specifications in "How to Make Money in Stocks" by William O'Neil. Technically, a Double Bottom breaks out when it trades above the middle high point. Many times they form tradable handles in addition to the W pattern. Sometimes, a Double Bottom lines up with a trend line, such as the chart below: Rue21 (RUE: NYSE)



And here is Atheros Communications (ATHR: Nasdaq):



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Importance of VOLUME:

At this point in the book, I am including my Special Report on “The Number 1 Indicator: Almost As Good As Inside Information”. There are more Daily Charts in the report for study, and I also discuss the importance and relevance of VOLUME.

SPECIAL REPORT:

The Number 1 Indicator for Stock Traders:

Nearly as Good as Inside Information

The absolute number one indicator for trading individual stocks (which is nearly as good as inside information) is **VOLUME**. VOLUME, when analyzed together with **PRICE** action, gives you more information than any other single indicator, hands down.

The best way to understand why VOLUME is the number one indicator is to think back to your Economics 101 class. Perhaps you remember the concept:

PRICE is a function of SUPPLY & DEMAND

In the stock market, supply is generally fixed. That is, the amount of shares available for trading in any given stock (also known as the float) is generally a fixed number. It rarely changes.¹

Demand on the other hand fluctuates. Simply stated, in stocks, if demand increases, prices move up. Where does the demand for stocks come from in the

¹ The amount of shares in the public float only changes when insiders sell stock, stock options are executed and sold into the market, the company does secondary offerings, convertible bonds are converted into shares or the company buys back shares, either in the open market or via a tender offer.

² Traders who don't enter stops are playing with fire. No doubt you will eventually get burned! Stop orders are at

stock market? By most estimates, 75% to 85% of all activity in the US stock market comes from ***institutional and professional investors*** (not Mom & Pop, and not little day and swing traders!). The institutions are the mutual funds, hedge funds, insurance companies, pension funds, charitable trusts and others that control ***hundreds of millions and billions of dollars***. It's these institutions that create the demand.

So what does VOLUME have to do with any of this? VOLUME (the number of shares traded in a given timeframe) ***is the only footprint*** left by these institutional investors as they enter or exit a stock. Therefore VOLUME can be thought of as the ***purest evidence of demand for a given stock***.

Let's take a look at why we need to follow these institutional footprints:

Let's say the XYZ mutual fund currently has \$10 billion under management. This is not an unusual number, as there are dozens of institutions that actually manage more than this. Furthermore, let's assume that the XYZ fund has selected a stock that they would like to make 2% of their portfolio. We will use VMW (VMware on the NYSE) as an example:

Stock Price: \$55.00

Average Daily Trading Volume: 1.67 million shares

That means XYZ wants to buy \$200 million worth of the stock or roughly 3.63 million shares. Most funds don't want to be more than 5% or 10% of a stock's average volume on any given day so the XYZ fund will accumulate anywhere from 83,500 to 167,000 shares per day until they have acquired 1.67 million shares.

At this pace, the buying could take 11 to 22 trading days. Given that on average there are about 22 trading days in a month, it could take a full month of buying everyday to accumulate the shares. But funds don't buy it all in consecutive days.

They accumulate for a few days and then may wait several days to see if the stock pulls back a little.

In other words, it could take **several months** (or even longer) for a fund like XYZ to accumulate their position. Additionally, if XYZ has good performance as a fund, there could be new money coming into the fund, which can add to the number of shares XYZ needs to buy to maintain a 2% position.

So it's the buying action of the XYZ fund **and other similar funds** combined that drives the stock higher. The more funds that are accumulating in this fashion, the more VOLUME and PRICE will rise.

VOLUME AND PRICE COMBINED:

When stocks "breakout" from several weeks of consolidation (also known as a base pattern) to new 52 week or all-time highs on heavy VOLUME, it is **CLEARLY** the mark of institutional accumulation. It's the sign of many funds, and perhaps even new funds, all accumulating on the same day. Heavy VOLUME means VOLUME that is 50% to 500% (or more) **greater than the average daily VOLUME**. It is this type of accumulation that moves stocks and the type that day traders, swing traders and investors are interested in.

This brings up a very important point to add to the concept of VOLUME as the Number One Indicator. VOLUME by itself doesn't contain as much information as **Volume & Price together**. History has shown that stocks that are within 15% of a new 52 week high, or even better an ALL-TIME high, and are starting to move up on above average volume, **have the highest probability of continuing higher**. This study was done by William O'Neill and is based on 100 years of data. This study is discussed at length in his book **"How to Make Money in Stocks"** (an absolute must read for ALL traders and investors).

Why does this happen? Interestingly, as more institutions accumulate a stock, they are actually **decreasing** the supply at the same time. Most types of funds

(not all), such as mutual funds and pension funds, will accumulate a stock and hold it for a period a time. This holding period could last anywhere from several months to several years. The longer they hold the stock, the more they tend to reduce the float and hence, the supply. This is one reason why stocks generally gather strength as they move through certain price points and through new highs (more about EXACT price entry points and patterns are covered in the chart reading chapters of the Ebook “The EZBreakout Method”).

As traders, we want to ride the big wave of institutional demand and the only clear way to find stocks that will give us the ***greatest probability of making money*** is to examine **VOLUME & PRICE combined**.

When we examine VOLUME & PRICE combined, we look for very specific patterns on the stock charts. There are several chart formations that work best; they include the Cup & Handle, the Flat Base and the Double Bottom. (These patterns, as well as an additional one that works even better, are discussed fully in the ebook “The EZBreakout Method”) **These chart patterns, when combined with VOLUME, give the stock trader and investor the number one indication of a stock’s direction.**

To illustrate this point, let’s take a look at a few high VOLUME “breakouts” that have occurred during the bull market cycle that started in March 2009.

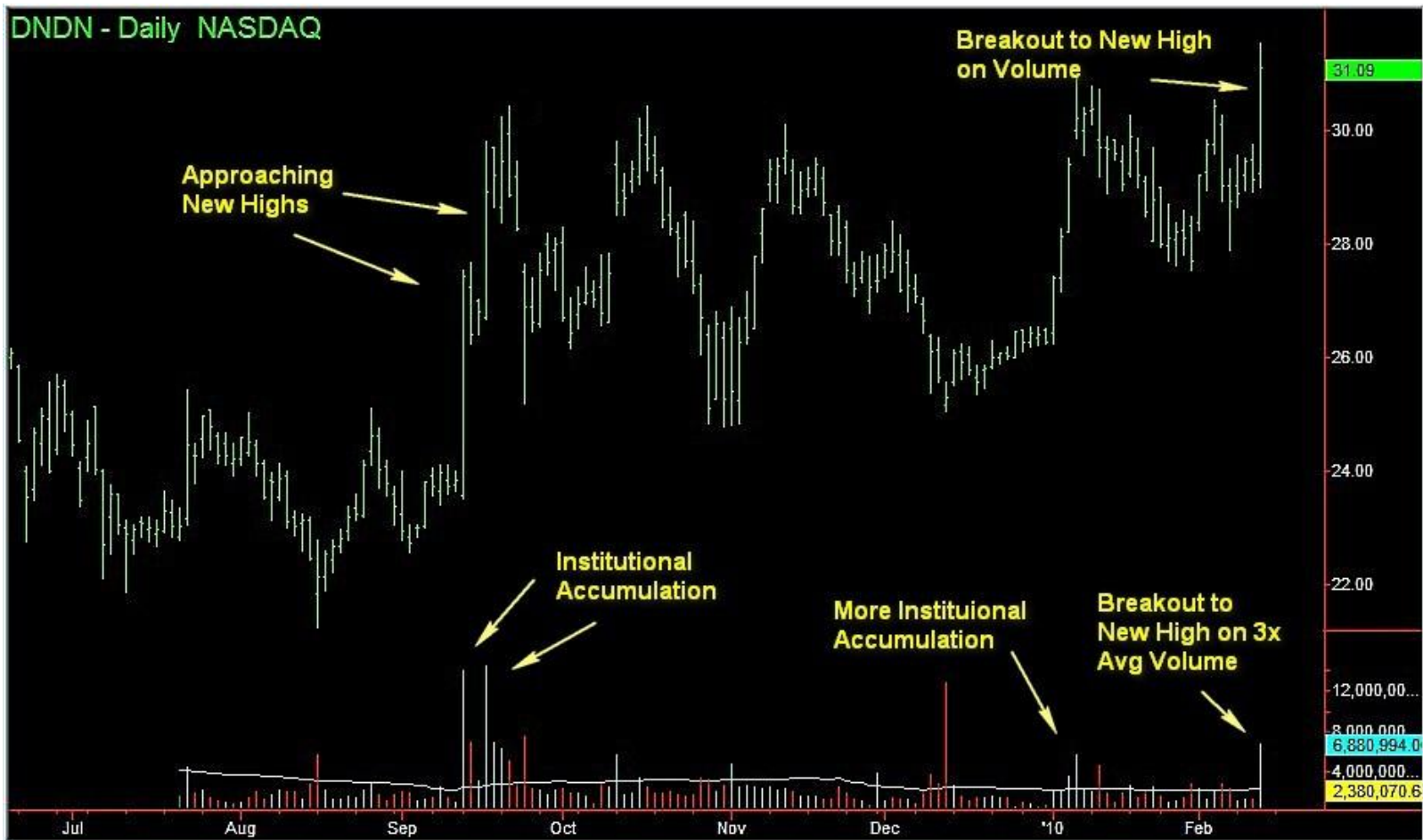


First, let's examine VMware (VMW on the NYSE). It just so happened that VMW broke out of a 5 Week Flat Base formation on the day of this writing.

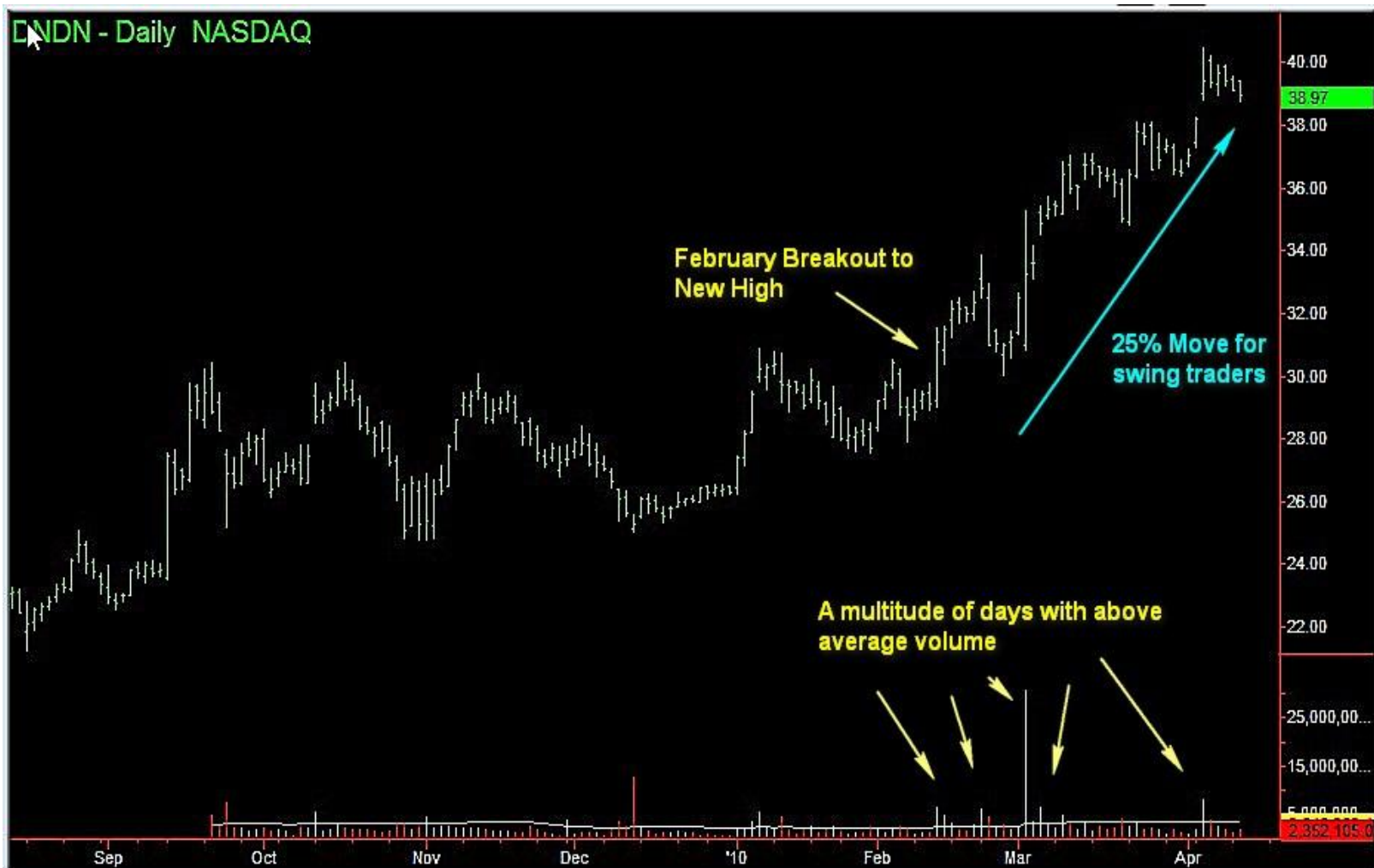
As you can see in the above chart, VMW traded 6.1 million shares, more than 3 times its average volume of 1.7 million shares on this day. As an investor, swing trader or day trader, you can usually tell within the first few hours of trading if a stock is going to exceed its average daily volume (Yahoo Finance is a good place to find average daily volume). If a stock averages 1 million shares a day and 350,000 have traded before 10:00 AM Eastern time, then you can be pretty certain institutions are at work. VMW happened to have massive volume in the 1st 15 minutes of trading on this day. If you had been keeping an eye on VMW, because

of the Flat Base formation, the price and VOLUME would have triggered your breakout point alarm in the first minutes of trading. Let's take a look at some others.

Now let's look at Dendreon (DNDN on the NASDAQ):



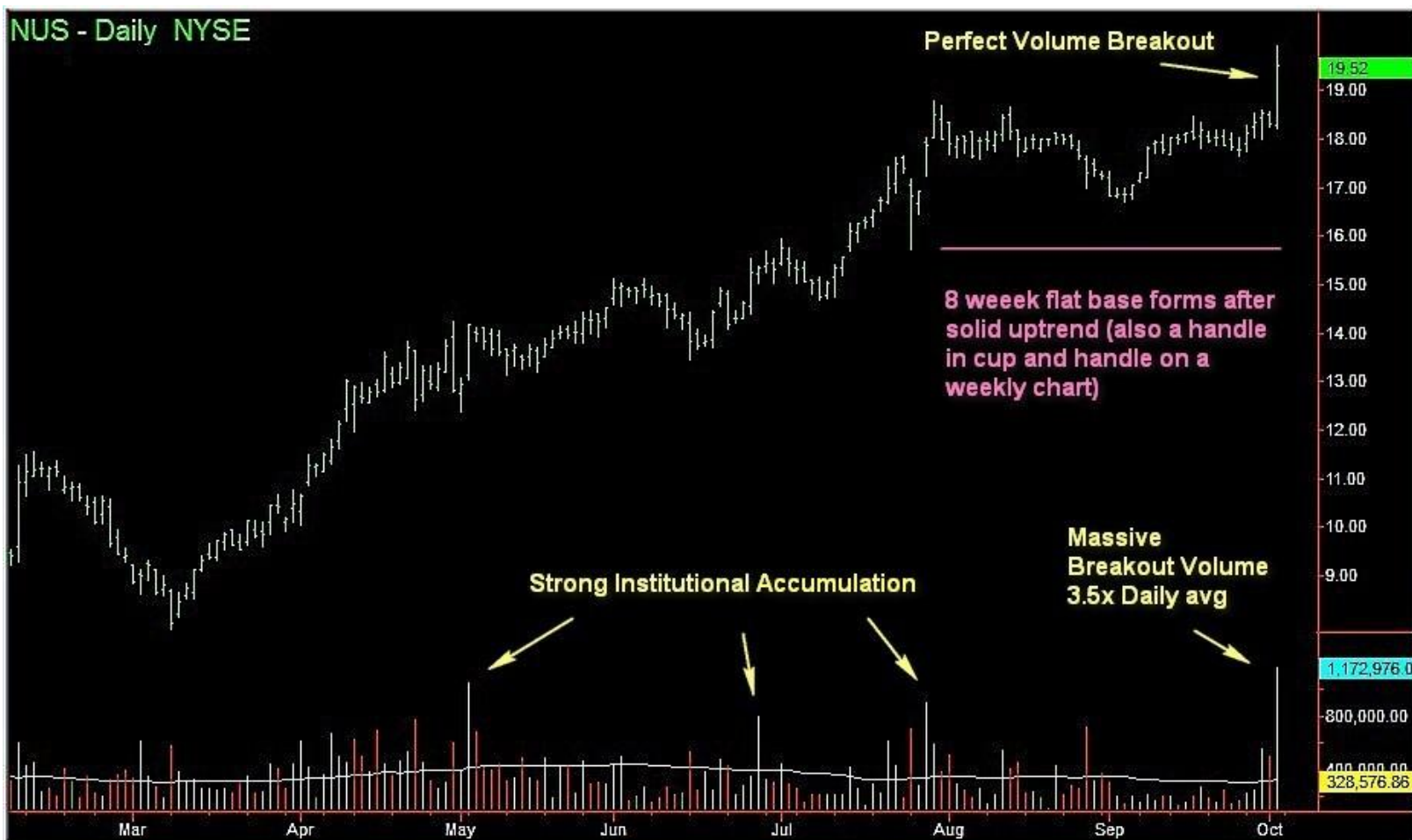
As you can see from this chart, DNDN gave traders several great opportunities to trade the stock over the last year. **CLEARLY the stock is being accumulated by institutions**. The big up days were all on above average volume. As traders and investors, we want to ride on the back of the institutions. As you can see above, DNDN broke out the second week of February. Now, take a look at what the stock did after that point:



DNDN tacked on another 25% after the breakout and continued to show strong institutional demand. Investors, swing traders and day traders all made money trading this stock.

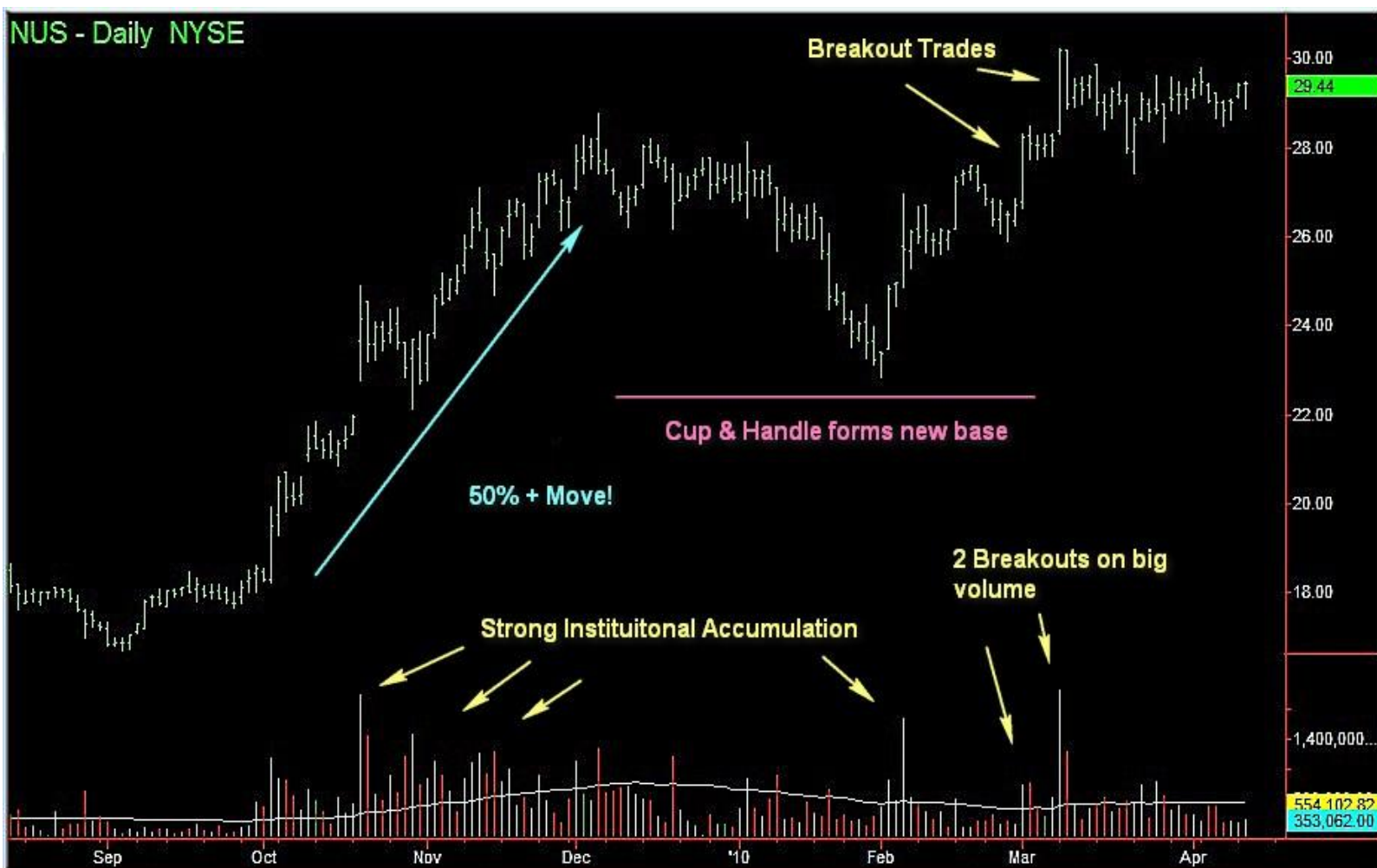
DNDN is another clear example of how institutions leave their mark in the form of VOLUME.

NuSkin (NUS on the NYSE) is another stock that proved how well VOLUME is measure of institutional accumulation:



Back in October 2009, NUS formed a perfect flat base after a strong run-up. The VOLUME breakout in the beginning of October provided an excellent entry for investors and swing traders and a great trade for day traders. Again, VOLUME is the clue!

Here is what NUS did over the next 6 months, following the October 2009 VOLUME breakout:

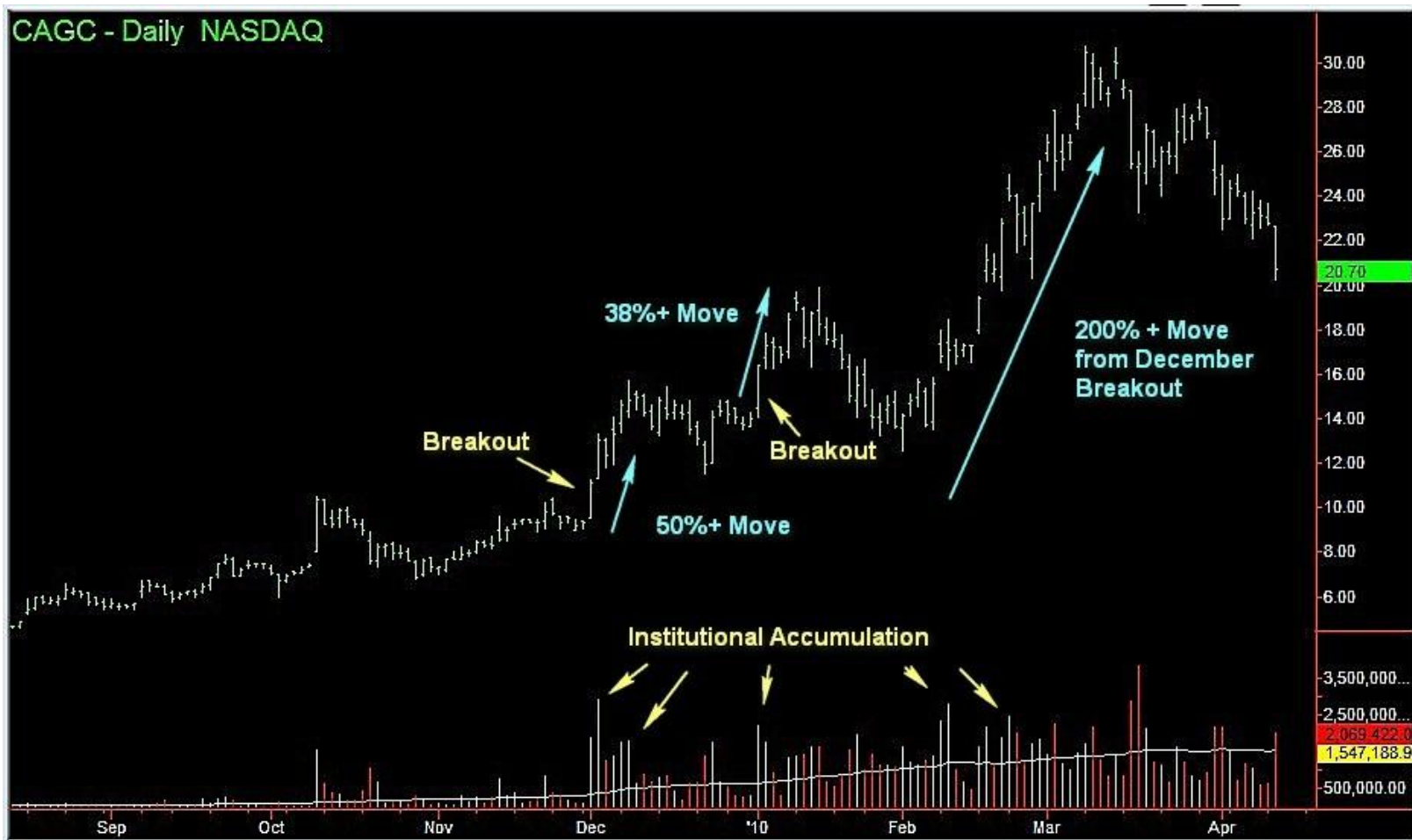


This huge move clearly indicates the importance of VOLUME as evidence of institutional demand. NUS continued to create opportunities. As you can see, as of the time of this writing (April, 2010), NUS looks ready for another move!

The next illustration is a good example of what happens when institutions locate a stock that has otherwise very little institutional sponsorship, meaning almost zero institutions have a position in the stock. China Agritech Inc. (CAGC on the Nasdaq) moved from the OTCBB to the Nasdaq on September 21, 2009 and proceeded to form a cup and handle. Take a look:



The breakout day offered an excellent trade for investors, swing traders and day traders alike. Now, take a look at what happened after the VOLUME breakout!



Please keep in mind that this chart is adjusted for a split that occurred in February 2010. You can see institutions are piling into the stock. CAGC truly had a remarkable run and offered multiple entry points. One of the main factors that added to the phenomenal run was the tiny float of just 5.5 million shares. Once big money funds gobbled up shares and put them away, it left less and less shares available for new institutions to purchase. It created an explosive run, further evidence of the power of institutions and the tracks they leave.

Let's take a look at one more. Bridgepoint Education (BPI on the NYSE):



As you can see, BPI started moving up on VOLUME to create a Cup & Short Handle in March 2010. BPI is also another stock with a smaller float, with only 16 million shares as of the time of this writing. As institutions accumulated, they actually reduced the float. On the breakout day, there was more institutional demand and less stock available, pushing prices even higher. Let's see what happened after the breakout:



After the initial breakout, BPI continued to offer trading opportunities.

In conclusion, VOLUME when combined with PRICE action, is the ultimate indicator in determining institutional demand for a stock. Institutions represent nearly all of the important activity in the US stock market today. VOLUME when combined with PRICE, gives the investor or trader the **best probability of making money** on a stock, when the charts set up properly.

So where can you find the stocks that are trading heavy VOLUME on any given day? Here are two places:

<http://www.nasdaq.com/aspx/unusualvolume.aspx>

The best place to go to find the PERFECT CHART SETUPS BEFORE they make a VOLUME move is:

www.EZBreakouts.com

END OF SPECIAL REPORT

Ok, now that you have a thorough understanding of Daily Charts and the real significance of VOLUME, let's continue to study charting, the EZBreakout Method way. After examining Daily Charts, we zoom down to the 60 Minute Charts to better locate our Breakout point.

60 Minute Charts:

The importance of 60 Minute Charts cannot be overstated. The 60 Minute Charts give the trader an edge when trying to locate the best possible, lowest risk buy point. I have found that by studying 60 minute charts, ***especially in the formation of a handle or High Handle***, I can beat the crowd to the Breakout! Read this

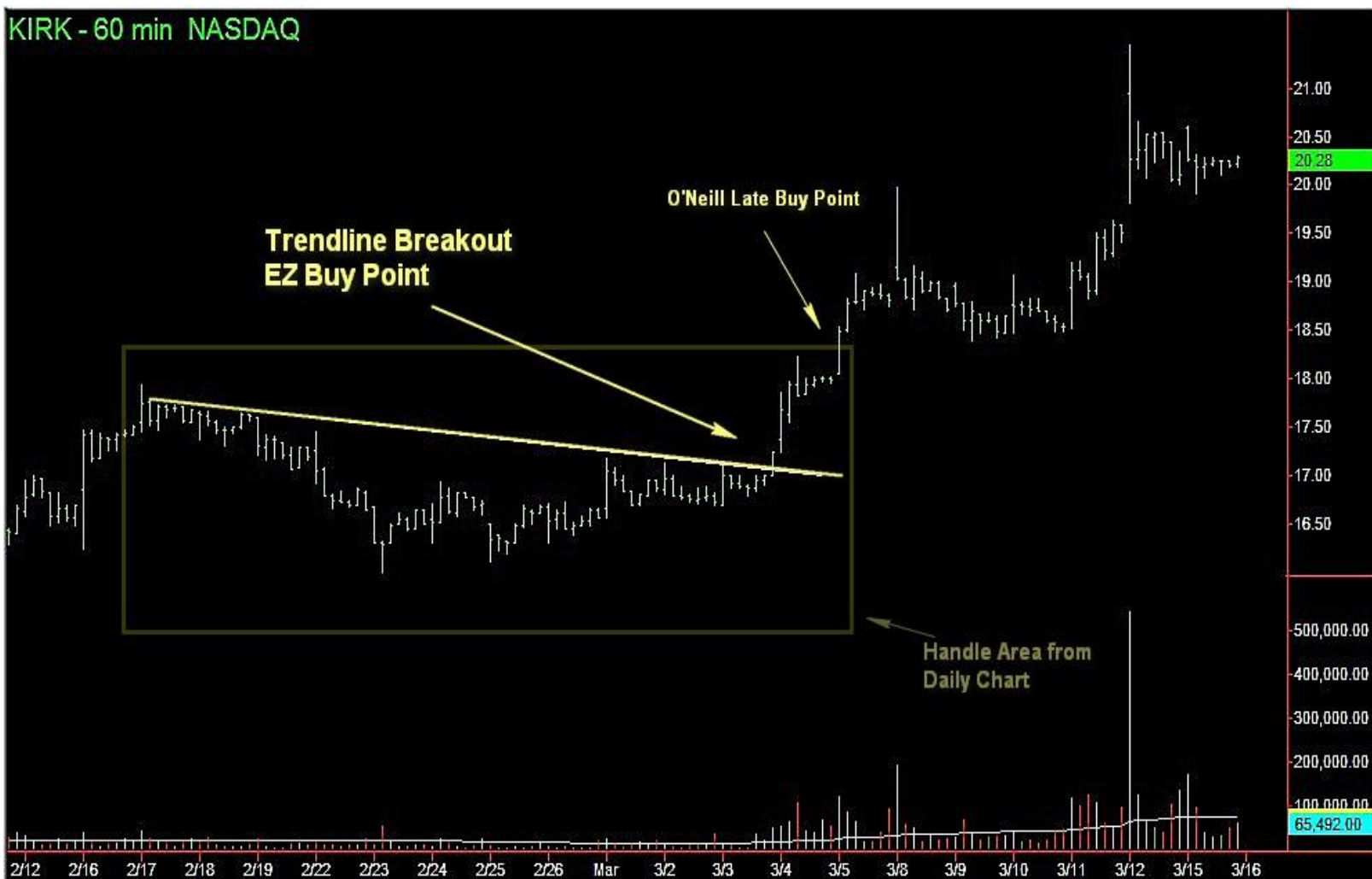
paragraph again! These charts are where the great trades are found. The ones that make you cheer out loud when you catch them right!

I look for several precise patterns when studying 60 Minute Charts:

- A tight, definable declining flat base/trend line that can be drawn and gives a clear buy signal
- A Cup & Handle
- A Double Bottom

Essentially I am looking for the same patterns I would on a Daily Chart! Let's analyze a few 60 Minute Charts:

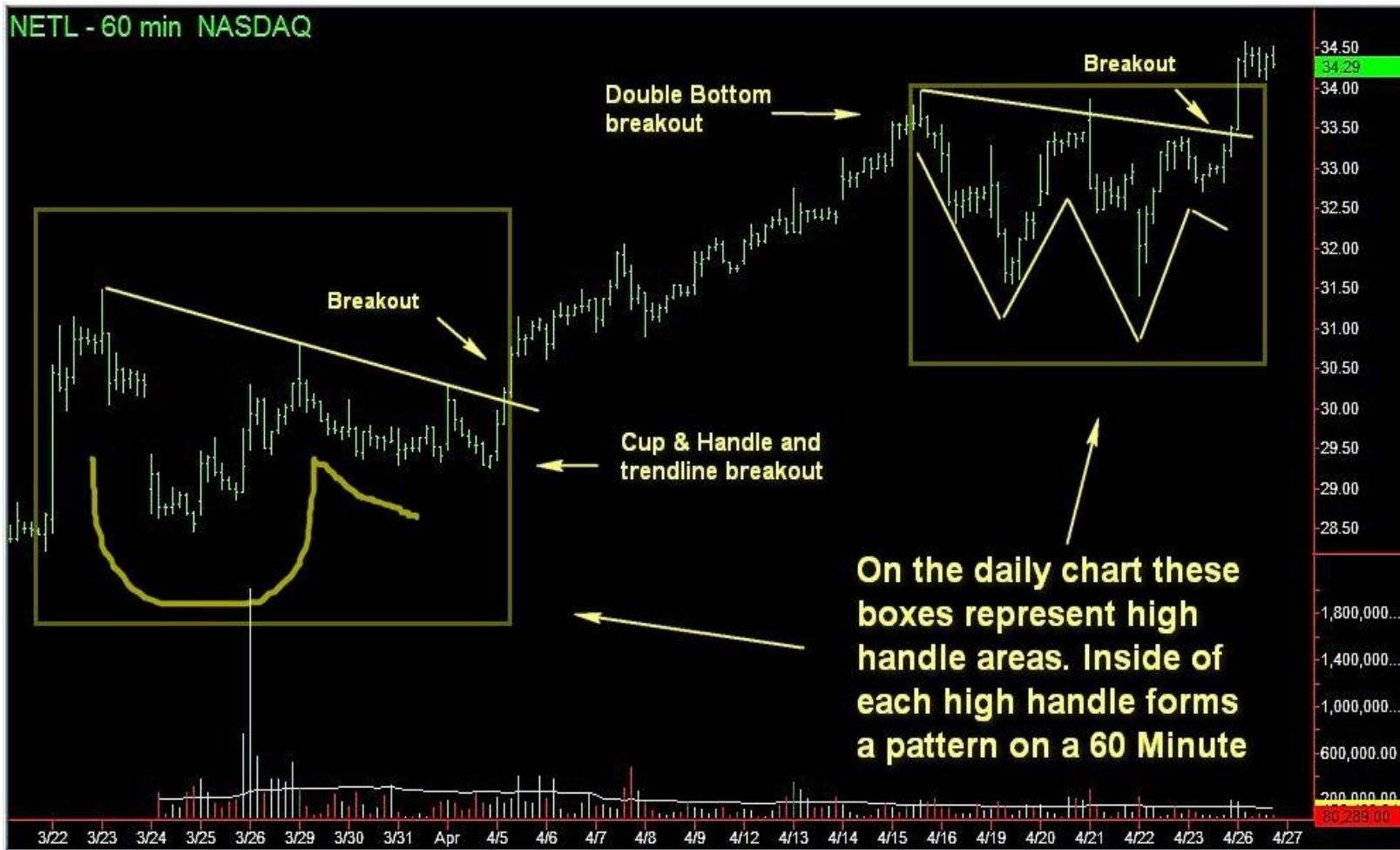
Again here is KIRK:



While KIRK carved a beautiful handle in March 2010, the 60 Minute Chart set up a perfect trend line that created an easy trade. You can clearly see how the volume came in. Notice how this method gets you in earlier. Zooming in on the 15 Minute and 5 Minute charts can get you even more precision.

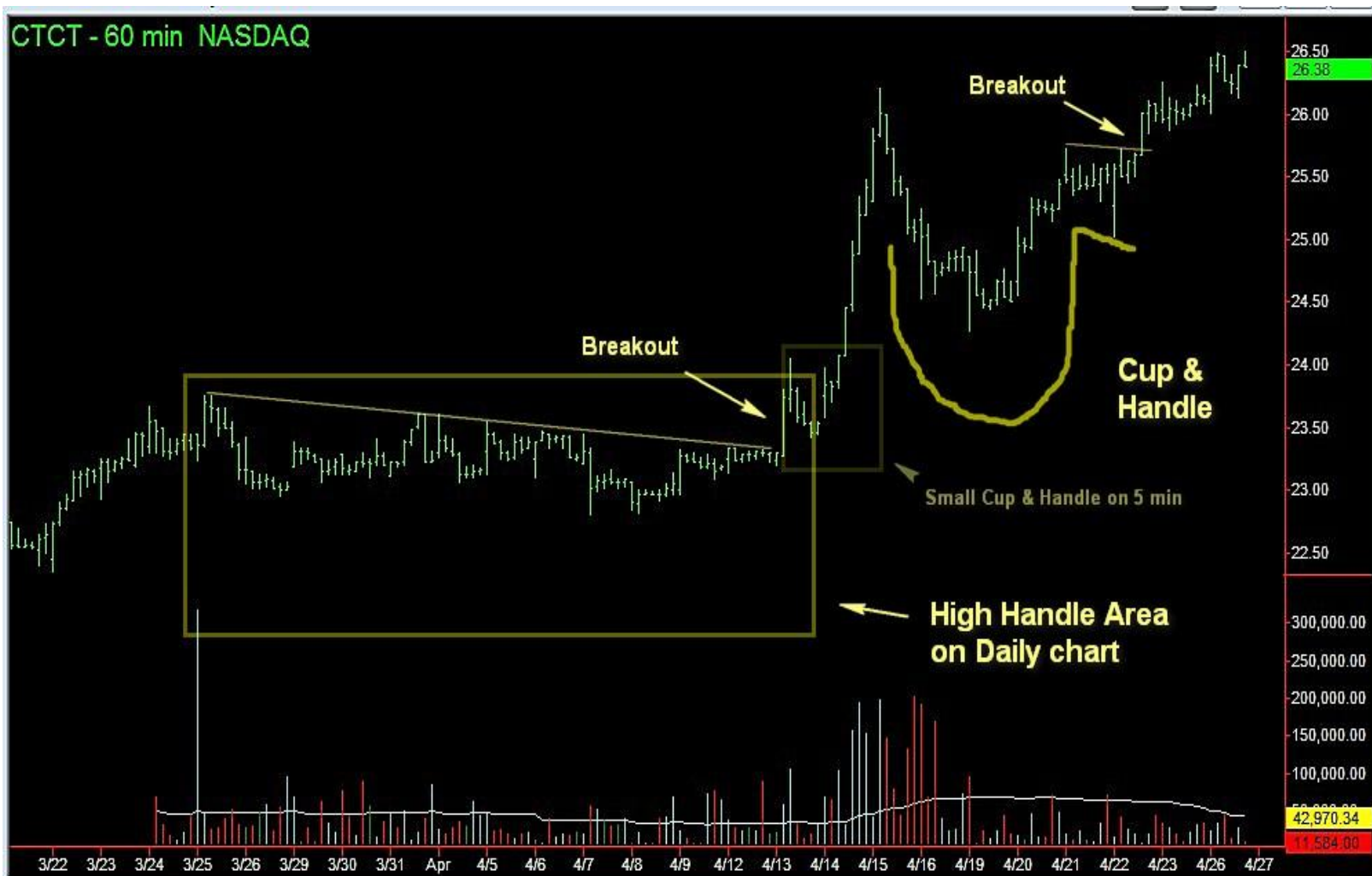
A word of warning is required here. Be careful when a breakout alert goes off that is based on the 60 Minute Chart in the first 20 minutes of trading. Sometimes, the first 20 minutes can give you a false buy signal. You have to watch the VOLUME and the 5 Minute Chart to determine if the breakout is real. More about 5 Minute Charts later. There is an entire chapter dedicated to what can go wrong, later in this book. Things that happen in the first 20 minutes of the trading day is one of them.

Here is Netlogic (NETL: Nasdaq). NETL broke out to an all time high on a massive VOLUME gap in February of 2010 and proceeded to form a nice series of tradable High Handles (on the daily chart). Here are 2 of the High Handles, as zoomed in the 60 Minute:



You can see how the same formations that we are used to seeing appear on 60 Minute charts as well. Cup & Handles, Double Bottoms & Trend Line breakouts are very common to see on the 60 Minute Charts. These charts give you **EARLY ENTRIES**. This is what makes the EZBreakout Method different and unique.

Here is Constant Contact (CTCT: Nasdaq)



You can clearly see patterns here. A nice Flat Base/trend line breakout and a Cup & Handle breakout. ***These are the perfect chart setups that work with a very high probability of success.***

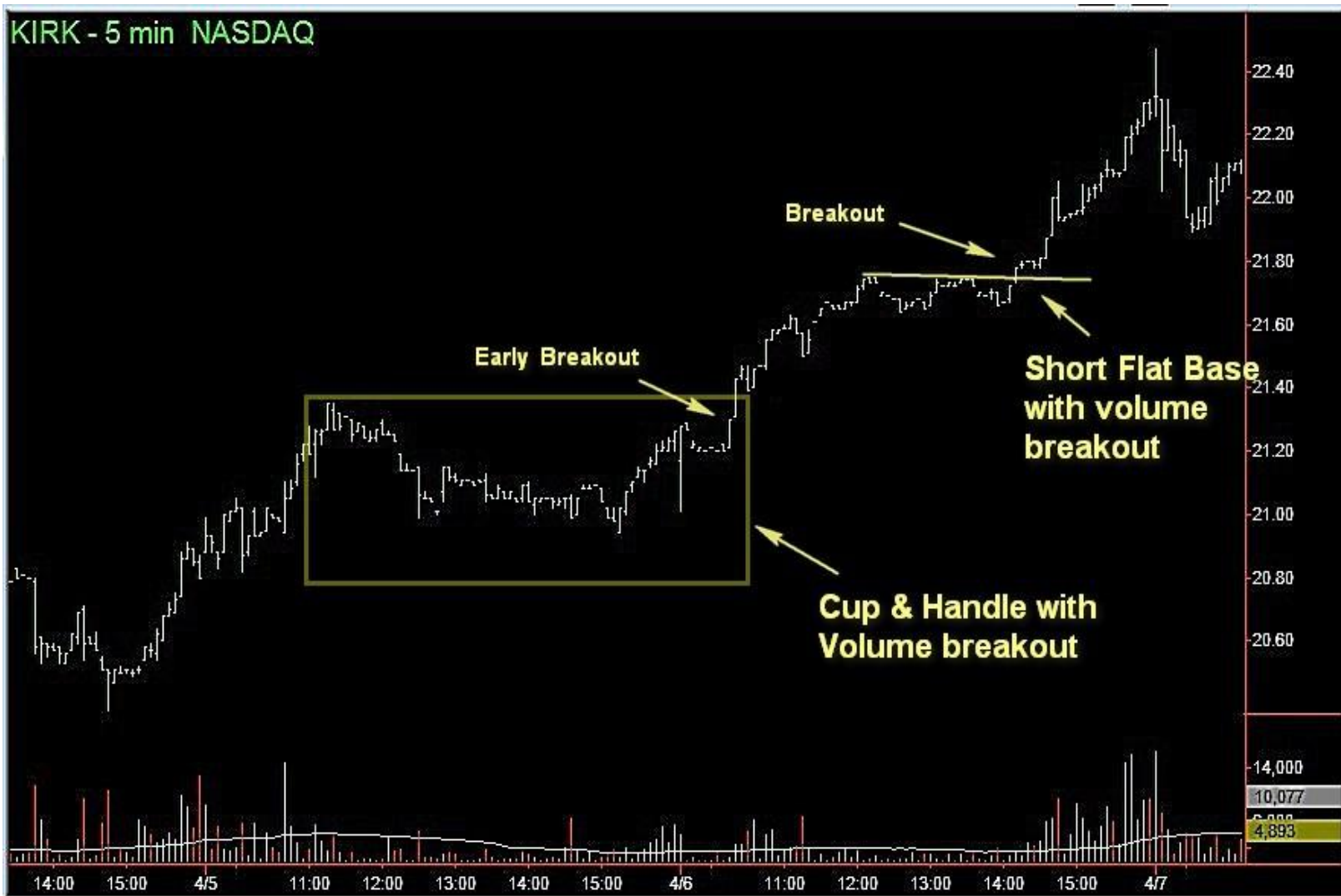
In summary, the 60 Minute Chart is used to find low-risk, high-success breakout points with more precision than just looking at Daily Charts.

>>By the way, I do all of the work and find the potential breakouts for you at
www.EZBreakouts.com <<

15, 5 & 1 Minute Charts:

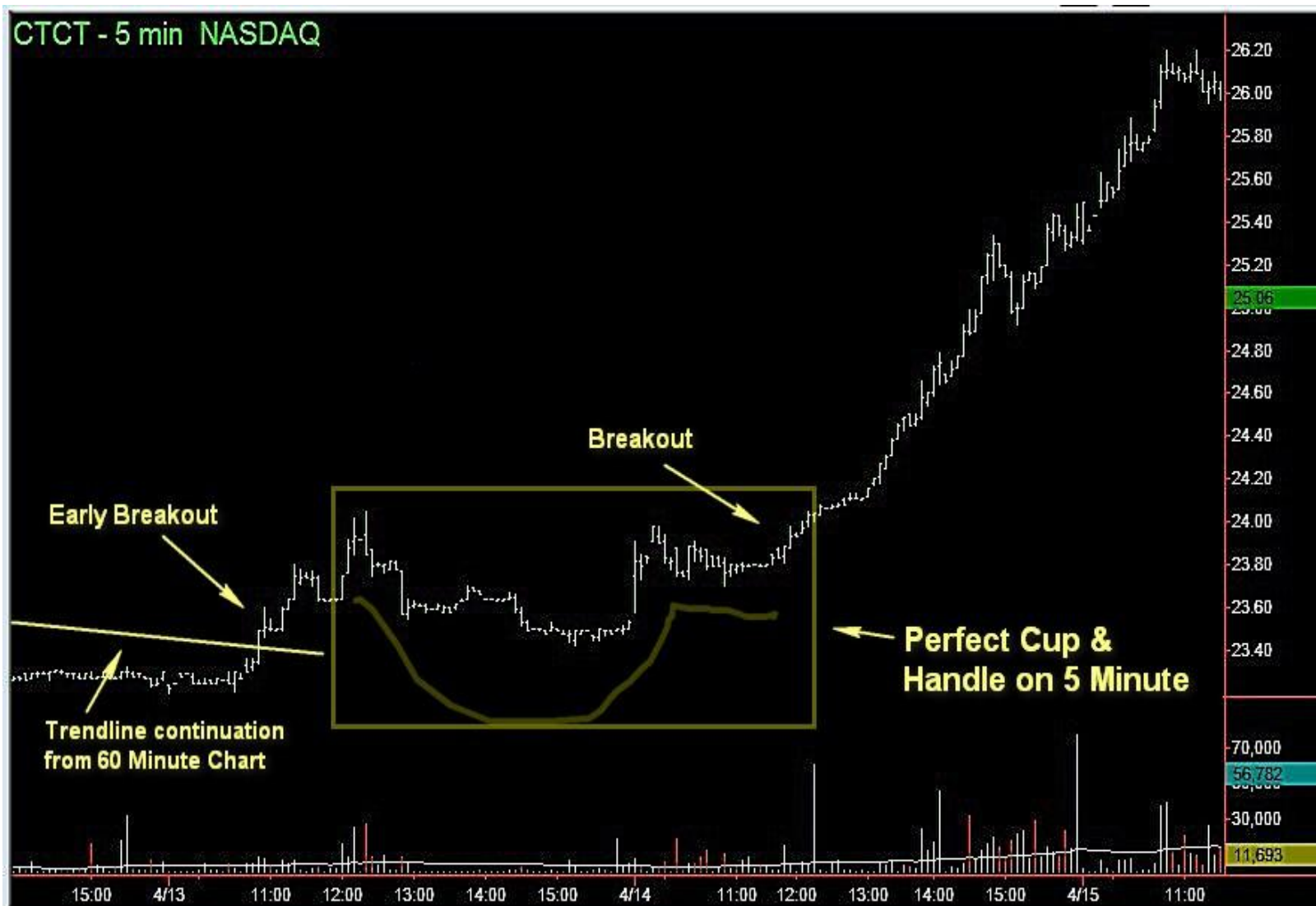
Essentially I use the 15 Minute, 5 Minute, and even 1 Minute Charts to be more precise on buy points. It is really the same analysis. Continue to look for the same chart patterns. I personally use the 5 Minute Chart as my primary focus while day trading, not just because Cup & Handles and Flat Base/Trend lines form on them, but also because I use it to determine when to sell (there is an entire chapter dedicated to discussing how to manage the trade and when to sell). I also keep the Daily Chart, 60 Minute and 1 Minute all in smaller view.

Here are a few 5 minute charts for analysis. Here is our buddy KIRK again after a High Handle formed at the end of March, early April, 2010:



If you had been watching Kirk on the High Handle, you might have spotted this Cup & Handle on the 5 Minute and caught the stock for an early trade. Even if you missed this early trade the later breakout came in on even heavier VOLUME.

Also from earlier, here is CTCT:



CTCT formed a picture perfect Cup & Handle on the 5 Minute before exploding for 2+ straight points.

So as you can see, sometimes we find our main patterns embedded on the 5 Minute Charts. 5 Minute Charts are also extremely useful for seeing when VOLUME is coming in and, as I said earlier, to determine when to sell quick trades (more later).

Charting Summary: In summary, when it comes to reading the charts, here are the steps, one more time:

- Develop your list based on RS and other EZBreakout Criteria
- Analyze Daily Charts to locate Cup & Handles, High Handles, Flat Bases/Trend lines & Double Bottoms
- When the right formation is found, zoom to 60 Minute Chart and look for Cup & Handles, Flat Base/Trend lines & Double Bottoms. Find Breakout point!
- Zoom to 15, 5 & 1 Minute charts if necessary to determine breakout point

If you use these steps, determining and buying breakouts and then selling them properly, (as will be discussed) you should have a high trading success rate.

>>By the way, I do all of the work and find the potential breakouts for you at www.EZBreakouts.com <<

Chapter 6:

The Art of Trading:

Entering the Trade, Managing the Trade & When to Sell

Trading is not, I repeat, NOT an exact science and not as mechanical as various system developers and talking heads would like to make it seem. Your success in trading will be based on how well you interpret the charts, how close to the breakout point you enter, the VOLUME in a given stock and, most importantly, ***how well you manage the trade.*** It is extremely important to recognize that no

matter how well you understand a “system”, your own personal psychology will determine how well you manage trades. In this chapter I am going to discuss How to enter and manage a trade and, even more importantly, when to sell. In the next chapter I will talk about “Do’s & Don’ts”.

Ok, so you made it this far, and now you are sitting there with your list of stocks that have perfect chart set-ups. You know your breakout points; what do you do next???

First let’s start with a rule:

- Narrow your list down to no more than 20 Stocks. The less the better! I only focus on 10.

This is extremely important. In a really strong bull cycle, you might come up with a list of 30 or 40 stocks; and they all might work, but you really want to focus on the best of the best. Here are a few rules to help you narrow down the list:

- Focus on the stocks with higher average daily VOLUME
- Concentrate on the stocks at or near ALL-TIME highs
- Eliminate the lowest priced and/or highest priced stocks
- Determine which charts have the most perfect formations and eliminate any “creative” or “questionable” ones
- Find the stocks with smaller floats, as they tend to have bigger moves when VOLUME comes in

If you follow these rules, it will help you isolate la crème de la crème.

By the way, all of your analysis “homework” should be done after the market closes or before the market opens. It is impossible to analyze charts during market hours, while you are trying to trade.

>>By the way, I do all of the work and find the potential breakouts for you at

www.EZBreakouts.com <<

The next step is to enter your breakout points as audio/visual alerts on your trading platform. Personally, I use Tradestation as a trading platform and I recommend them highly. A word of warning here, and this comes from my personal experience, use audio alerts that have a gentle sound, not sirens or other loud obnoxious noises. You don't want to set alerts that are so "alarming" that you trigger your fight or flight response (more about the fight or flight response in the ebook on trading psychology). You want alerts that calmly draw your attention to a stock that might be breaking out.

Now, the market has been open for about 45 minutes and an alert goes off. What do you do? As quickly (and calmly) as you can, pull up a 5 Minute Chart on the stock and check out the action. Is there any VOLUME? Is VOLUME going off like a cash register? Or did one trade go off at your price and nothing is happening? Watch carefully and make a decision. If something is happening and the stock is obviously in play, then buy the stock immediately. If it is hard to tell, then I recommend you wait. When a stock is in play, it will be OBVIOUS. When a stock that averages 500,000 shares a day has 350,000 shares traded by 10:15 AM (EST), you KNOW the stock is in play. Sometimes, the VOLUME isn't there yet, so watch. Does the stock start moving up and are volume coming in? If so, you know the stock is in play.

Sometimes, the trade that triggered the alert can be an "outlier" or what I call a "scouting party", which is when a few traders see the same formation and try to break the stock out themselves. Remember from the VOLUME Special Report, traders don't move markets or stocks; institutions do! So wait and watch.

Let's assume that your alert was triggered, you looked at the 5 MINUTE chart and examined the VOLUME; and the stock is in play! You buy the stock immediately! **THE VERY NEXT THING YOU DO IS ENTER A STOP LOSS ORDER.**²

² Traders who don't enter stops are playing with fire. No doubt you will eventually get burned! Stop orders are at the heart of all good trading methodologies. If you don't want to use a stop order I would ask you to put down this Ebook and not waste your time reading the rest of it. The EZBreakout Method is firmly rooted in managing risk and stop orders are the most important tool for managing risk.

Where? At what price? The answer is one of the hardest things to determine in trading. But the single best answer I can give you AND the official EZBreakout Method Rule is:

- Your stop-sell market order (or just “stop”) should be placed at or just below the 9 Exponential Moving Average (known as the “9 EMA” from this point forward) on a 5 Minute Chart.

I have discovered that nearly 85%+ of stocks in play ***WILL NOT BREAK THIS LINE*** by more than a few cents (<.15), ***if the stock is in play***. This is the single most important tool for managing trades that I have ever used or seen!

I promise you that if you are a day trader and use learn the nuances of trading with the 9 EMA on a 5 Minute Chart, you will hold day trades for bigger runs and sell day trades higher than you thought you ever could!

What is the 9 Exponential Moving Average (9 EMA)? Investopedia.com defines it as “A type of moving average that is similar to a simple moving average, except that more weight is given to the latest data. The exponential moving average is also known as ‘exponentially weighted moving average’”.

Nearly every decent trading platform will have EMA as an analysis technique. What we want to do is tell our charting program (i.e. Tradestation) to look at 9 bars of data. From my experience, the ***9 EMA on a 5 Minute Chart will give you all the necessary information*** to set all of your stop orders (from this point on I may refer to stop orders, stop loss orders or stop market orders as simply “stops”) from a trade managing perspective.

By the way, there is very little literature on this topic. Most aspiring traders have NO IDEA how to manage a trade and wind up letting winning trades turn into losers. Did you know that something like 90% of all so-called “day traders” blow out after less than 1 year of trading? Bottom line, this is due to poorly managed trades! More on that topic when we get to Trading Psychology.

Most systems available to the public LOVE to tell you when to buy! They RARELY tell you when to sell! William O'Neil says to use a 7% to 8% stop-loss. I say **bull@&%t!** If you buy a stock just right, your stop can be less than \$.50 below an entry point and in many cases, a lot less!

Let's take a look at a couple of breakouts on the 5 Minute Charts to see how to set stops and properly manage a day trade.

Here is our old friend CTCT on the 5 Minute Chart, with the 9 EMA line added, when it broke the Trend Line:



The thin white line is the 9 EMA. CTCT offered 2 trades on back-to-back days. The first trade is when the stock broke the handle area trend line (see previous CTCT charts). An alert would have went off at roughly 23.40 and you would have bought the stock anywhere from 23.40 to 23.50 or so. I recommend that you put the stop anywhere from .04 to .08 below the 9 EMA on the 5 Minute Chart.

The exact figure will be a matter of opinion and feel. Each stock tends to have its own behaviors. I suggest you use .05 to start and see how that feels for you. Then tweak the number as you see fit for your own personal style of trading. Sometimes, after a stock has a big run, I will reduce this to .03, but again this will be a matter of preference. More expensive stocks will need a bigger number, but generally NEVER more than .10!

In the above example of CTCT I will use .04. Upon entry of the first breakout trade, a stop of roughly 23.25 would have been placed using this rule. Now if you paid 23.50, that's a pretty tight stop and a low-risk trade.

We are all about low-risk trades. Not every trade you do is going to work. Sometimes, stocks give false breakout signals; by using the 9 EMA you will keep yourself out of trouble and you will relinquish your "need to be right" (more on this in Trading Psychology).

In the above example, if you bought 1000 shares, your initial stop will be around the \$250 loss level. However, as soon as the 9 EMA line starts to curl upward, you RAISE your stop! And ***Every time the line changes its level you move the stop order higher! Period!*** If the stock stalls or downticks a few pennies, the platform calculated 9 EMA price level might drop. You leave your stop alone! NEVER lower a stop order! Read this paragraph again.

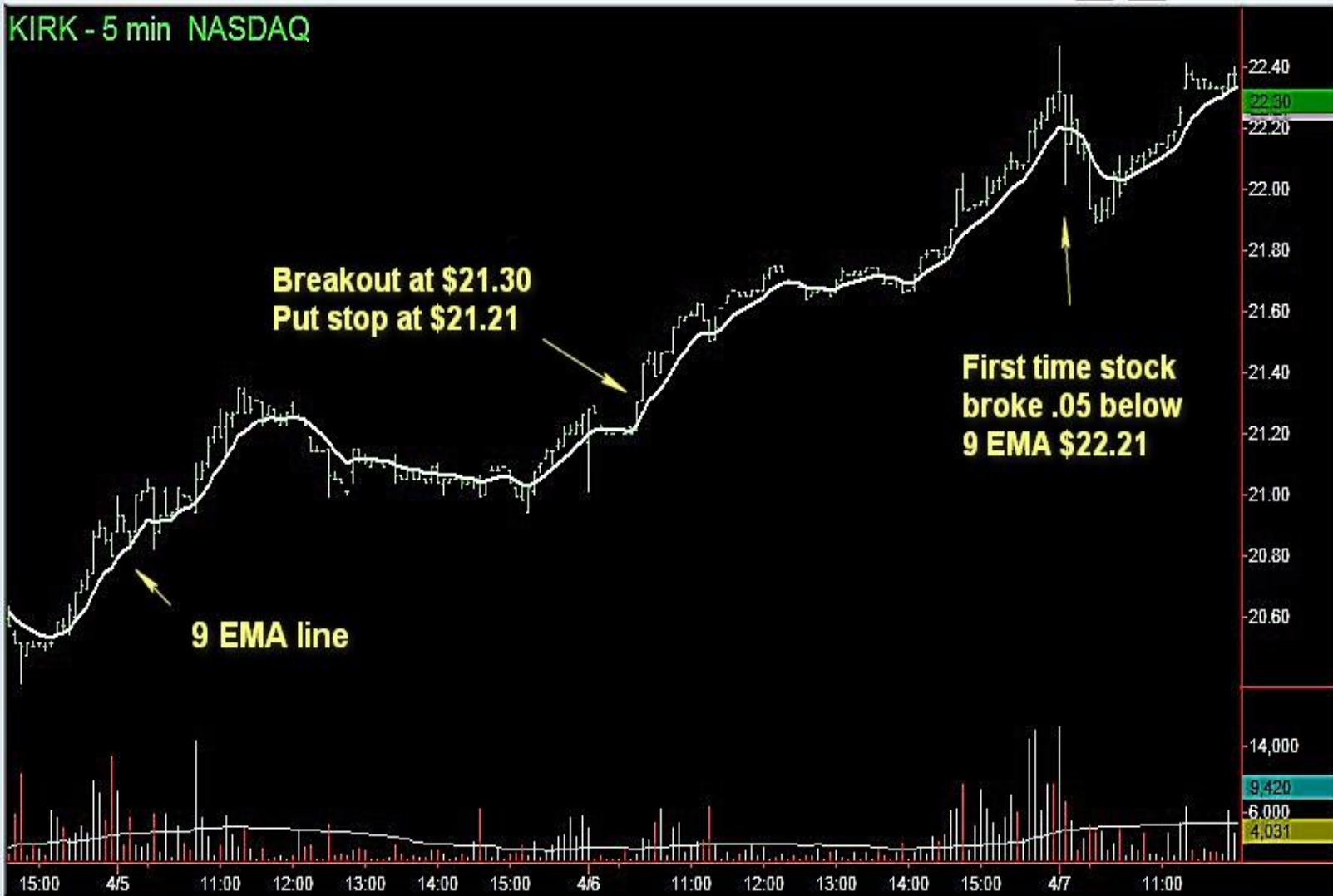
So in the above example, as CTCT traded thru 23.60, the 9 EMA was at about 23.48. You would have raised your stop to 23.44. Again that's very tight and if you paid 23.50 your potential loss is getting smaller. You continue to move your stop level as the 9 EMA climbs.

In the above example, if you had followed this method, you would have been stopped out the first time the stock broke .04 below the 9 EMA, at approximately 23.76 for a profit of \$260.00. Not the biggest move in the world, but not too shabby either.

Now, let's look at the second breakout from the Cup & Handle on the 5 Minute Charts. You would have bought the stock anywhere from 23.80 to 23.90. Let's be super conservative and say you paid 23.90. Your initial stop would have been around 23.75. Now, that's a tight stop and a low-risk trade! As you can see, the stock went into a frenzy and ran strong! If you kept raising your stop as the 9 EMA moved up, you would have been stopped out around the 24.97 to 25.00 area.

On a 1000 shares, that's a nice \$1000.00+ profit. Now, I can tell you from experience that many traders would have sold that stock after a .25, .35 or .50 move. The 9 EMA Method keeps you in stocks longer. ***I promise you that you will suck more juice out of your day trades if you follow this method.***

Now, let's take a look at our buddy KIRK:



KIRK's breakout was an awesome trade! If you bought the Cup & Handle breakout and used my suggestion of .05 below the 9 EMA, you would have made almost a point in KIRK. As you can see, even if you were a few seconds late to the trade and paid 21.40, your stop would have been the same...roughly 21.21. Now, is this a high-risk trade? A .19 potential loss? That's the beauty of this method; low-risk trades! In fact, if you are a day trader, you would have kept the stock all the way until the close. I personally sold the stock at the close around 22.25. Most day traders don't keep a stock all day. Only at the open the next day did it finally break .05 below the 9 EMA.

The 9 EMA on the 1 Minute Chart:

Sometimes, a stock breaks out and runs very fast and very high. It explodes! And at some point it is so far ahead of the 9 EMA on the 5 Minute Chart that the stop you are using seems just too far away. You have a nice profit and you want to be able to lock it in. What I do in this situation is use the 9 EMA on a 1 Minute Chart as a stop on $\frac{1}{2}$ to $\frac{2}{3}$ of the position. I then keep the rest using the 9 EMA on the 5 Minute. This method also keeps you in a little longer than you otherwise would be, and is a strong addition to your arsenal of tools.

As you may be realizing at this point, there are tremendous advantages to managing trades using this system:

- It's a system: it completely ***takes the guesswork out of trading***. It gives you power and confidence to know exactly what to do at any given moment.
- It keeps losses small and helps lock in profits as your stock moves higher.
- It will keep you in stocks longer than you ever thought possible.
- It will keep you true to the method and mechanical even when you're having a bad day emotionally.
- It's easy (EZ!)

Dozens of examples (and full explanations) of trading along the 9 EMA on the 5 Minute Chart and how well it can be found in the video course.

>> By the way, I do all of the work and find the potential breakouts for you at

www.EZBreakouts.com <<

Chapter 7:

Do's & Don't: Rules for Trading

The EZBreakout Method is an easy system, but there are things that can go wrong if you are not careful. In this chapter, I want to go over some things that can go wrong and what to look out for. I want to establish some more rules. It is imperative that you follow these rules to protect your capital. **I have done the trial and error for you with my own personal money**, so you don't have to suffer through the pain of figuring these rules out for yourself. These items are in no specific order and each of them are important:

- **BEWARE THE FIRST 15 TO 20 MINUTES OF TRADING:** In the opening minutes of trading, the market can be chaotic to say the least. Breakout alerts that go off in the first 5 or 10 minutes can be misleading. Some might be real and some might be false signals. The key is to check out the VOLUME. However, in the first few minutes you might not be able to judge VOLUME. If only a few thousand shares have traded, leave it alone. If you think something is up, then buy 1/10 or ¼ a position as a test. If VOLUME comes in, you can always add to the position.

Another thing that can happen, if you are trying to follow too many stocks, is that a dozen alerts can go off at the same time. The remedy for this is that you reduce your lists to the lowest number of potential breakout candidates. Focus on the very, very best charts.

- **BEWARE OF GAP UP OPENINGS IN THE STOCK MARKET:** We have all seen those days when a big piece of news comes out before the opening bell and the DJIA vaults 100 points at the open. Beware of these days! You will have false signals galore. The only thing you can do is wait for the first 30

minutes to an hour and figure out which of your stocks is truly breaking out. The only way to tell is VOLUME, which leads to the next point.

➤ **NEVER CHASE A BIG GAP OPENING IN ONE OF YOUR BREAKOUT STOCKS:**

If one of your breakout stocks gaps up big at the open, don't chase it. Let it do one or both of these things:

- Let it pull back to the 9 EMA on the 5 Minute before you buy. This way you can put in a very tight stop and manage your risk accordingly. If the stock is good, it will try to tag the line (sometimes it doesn't quite touch) and take off again. Sometimes, the stock just won't pull back to the line in the first few minutes after breaking out. In this case, leave it alone for now and see how it shapes up on the 5 Minute and 60 Minute Charts. Then you will be able to spot the next good entry point.
- Wait for a High Handle to form on the 5 Minute Chart. Many strong stocks will run up and then pause for several bars forming a nice tradable High Handle on the 5 Minute Chart. And in the meantime, this gives a chance for the 9 EMA to catch up so when it breaks out again from the high handle you have a low-risk trade.

➤ **KNOW WHEN ECONOMIC REPORTS ARE COMING OUT:** One way to ruin a good day is to be unaware of when Economic News Releases happen. Economic news has a way of making the market flop around. It can also change the direction of the market in an instant. 9:45 AM and 10 AM Eastern Time numbers can be especially tricky. Two places to find the Economic Calendar:

<http://www.bloomberg.com/markets/ecalendar/index.html>

<http://biz.yahoo.com/c/e.html>

It's best to keep your positions smaller and stops tighter around these numbers or, even better, just liquidate right before. You can always buy your stocks back.

- **BEWARE OF "FED DAY":** The day that the Federal Reserve Open Market Committee announces their current policy decisions (aka "Fed Day") is a very tough day to trade. I HIGHLY RECOMMEND that you cease trading and flatten any positions before the policy statement is announced at 2:15 PM eastern time. The gyrations after the announcement are absolutely impossible to trade. You can get burned very quickly.

An additional day to be aware of is the day the "Fed Minutes" are announced. The Fed Minutes can make the market act like a mini Fed Day.

- **NEVER BUY A STOCK THAT IS BELOW THE 9 EMA ON THE 5 MINUTE CHART:** I can almost guarantee you that if you are buying a stock that is more than .05 or .10 below the 9 EMA, you will lose money on the trade. A stock below the 9 EMA (for more than a few seconds) is NOT IN PLAY. Whatever you think you see on the chart is a hallucination. Also, never short a stock above the 9 EMA on the 5 Minute (more on this later).

The only time you can consider buying a stock below the 9 EMA on 5 Minute is when the stock gaps up at the open and then pulls back to form a handle. Sometimes, this handle will form just below the 9 EMA, but never by more than a few cents. If the stock breaks out from the handle on the 5 Minute, you can put a stop at the low of the previous bar. This is the ONLY acceptable time to purchase stocks below the 9 EMA (and it is very rare!)

- **KNOW EXACTLY WHEN THE NEXT EARNINGS RELEASES ARE FOR THE STOCKS YOU ARE FOLLOWING:** It is of utmost importance that you know when your stock is releasing earnings. **NEVER HOLD A STOCK WHEN THEY**

RELEASE EARNINGS. We have all heard about the stock that opened 5 or 10 points higher on earnings, but let me tell you, ***that is the exception.*** Seven times out of 10, a stock will go down on the day they release earnings; NO MATTER HOW GOOD THE NUMBERS ARE! This is not an opinion, this is a fact. It just isn't worth the risk. For some reason, it took me several years to figure this one out. If you hold a stock overnight for the earnings release, you are GAMBLING. Trading is not gambling (no matter what your friends and family tell you).

- **BE CAREFUL OF TRADING STOCKS THAT JUST RELEASED EARNINGS AFTER THE MARKET CLOSED THE NIGHT BEFORE OR BEFORE THE MARKET OPENED:** Many, many times I have seen a stock gap higher at the open on earnings, only to close DOWN substantially on the day. An opening like that can trigger an alert and cause you to make some very poor trades. There may indeed be a good trade there, but if the stock breaks the 9 EMA on 5 Minute and stays there, let it go and forget about it.

Sometimes, this situation can actually occur in reverse! A stock you have been following releases earnings the night before and then gaps **lower** at the open. At some point, the stock rallies back to somewhere around unchanged on the day. It will then form some kind of High Handle on a 5 Minute and then break out! This special situation can be a very profitable trade.

- **ALWAYS HAVE A STOP LOSS ORDER FOR EVERY SINGLE TRADE:** This is another one of those things I can't overemphasize. Here is a short list of reasons why:
 - **Not every trade works:** During a bull market, 7 or 8 out of 10 properly interpreted charts will work. Some won't! ***Get out right away when you are wrong!***

- **Unexpected News:** Weird market moving news events can happen during market hours. Headlines like “S & P downgrades Greece” or “Building Explodes in Manhattan” can have a sharp, sudden effect on the markets until participants find out what really happened. Also, news can come out on the industry you are trading or the individual stock itself. You don’t want to get stuck in a position during these events.
- **A Power Outage**
- **An Internet Outage**
- **NEVER BUY DIPS:** A lot of traders like to buy stocks on dips. I personally have not had a good winning percentage buying dips. My percentage chance of having a winning trade is much higher on breakouts. This rule includes:
 - ✓ Never buying a stock below the 9 EMA on the 5 Minute Chart
 - ✓ **Never ever** consider a stock trading below the 50 day moving average on a Daily Chart.
- **NEVER TRADE THE NEWS:** As I have already pointed out, the news can be misleading. Stocks usually don’t do what you expect them to do on news. How many times have you seen a stock beat earnings expectations and raise guidance, only to get hammered as soon as it reopens? Or, you have seen a piece of news that you knew would hit a stock, but the stock went higher? After 23 years in the business, I still am shocked at what stocks do on news.
- **NEVER DAY TRADE ETFs:** It might seem very enticing to try your hand at trading ETFs and leveraged ETFs. The leveraged ETFs can have some incredible swings and it is easy to become mesmerized by them. Unfortunately, I already tried to develop a system to trade these and the

bottom line is: IT'S HARD TO TRADE THEM. It is 1000 times easier to locate an individual stock with VOLUME and trade it using the EZBreakout Method than to try to trade these ETFs.

Chapter 8 Trading Psychology

I would like to start this chapter with the following statement:

Successful trading is, by definition, one's ability to follow a predetermined system while keeping one's personal emotions in check.

Trading Psychology is a topic where there IS a substantial amount of literature. Authors, such as Van Tharp & Doug Hirschorn, have written excellent books on the topic and I would recommend reading them. There is valuable information in these books that all traders need to understand. The only problem I have with some of these authors is that they are not full-time traders. They are psychologists. Yes, they have studied traders and found common characteristics which cause success or failure. But until you trade, day in and day out, year after year, you cannot fully appreciate the emotional roller coaster trading can put you on. The learning curve in trading is a steep and long one. Many, many traders fall off the cliff and blow out. As a full-time trader, I can articulate my personal experience and try to pass on which aspects of trading psychology to focus on and what mistakes to look out for.

This chapter on Trading Psychology should probably be the first one because **believe it or not, your own person psychology at any given moment, accounts for more than 90% of your success while trading (probably more!).** Trading, as an occupation is a constant battle of behavior modification. Traders are always tweaking and developing how they handle situations and learning how to contain their own emotions.

My goal in this chapter is to point out traps and mistakes traders make and give you the single best tool for preventing mistakes BEFORE they happen; an exercise called Mental Rehearsal.

Top Trader Mistakes

Below are the biggest mistakes new **and experienced** traders make. I mention experienced traders because I too seem to make the same mistakes over and over and over again. It's a funny thing about the human condition; sometimes, we just don't learn from our mistakes even when they are right in front of us, clear as day! I suggest you review this list every couple of weeks and see if you are making any of them. This list is not in any order necessarily and you may find yourself making different mistakes at different points in your career.

1. **Minimizing the Emotional Aspects of Trading and Not Understanding the Physiology of "Fight or Flight":** This point is a really big one. When human beings feel threatened by some form of danger, the sympathetic nervous system causes an extreme boost of adrenaline that causes physiological changes in the human body that are NOT CONDUCTIVE TO SUCCESSFUL TRADING. This boost of adrenaline is known as the "fight or flight" response.

When the fight or flight response is triggered, blood tends to flow away from the pre-frontal cortex where higher levels of thinking and problem solving occur and into other areas of the brain and body that prepare to fight or prepare to run.

The problem with us humans is that our brain does not differentiate the danger of being attacked by a lion and danger we feel when we have taken several losses in a row. The danger that we could lose a substantial amount of money or that our livelihood could be taken away or just the

plain old frustration and stress of things not going our way can produce this response.

As a trader YOU DON'T WANT YOUR FIGHT OR FLIGHT RESPONSE TRIGGERED! You want to maintain a relaxed and calm composure at all times. Believe me there are times when this seems impossible.

The fight or flight response leads to some trading behaviors that are downright ugly and result in bigger and bigger losses. Monitor yourself on a regular basis for these behaviors:

- ***Revenge Trading:*** Trying to “get back” at a stock that “took your money from you.” “I’ll show you..” attitude which leads to:
- ***Taking bigger and bigger positions*** as losses mount in an effort to “get it back”. This is your survival response or “fight”. If you were always told as a child that the hard work pays off, you will fight!

When it comes to trading, less is more. I have noticed in my own trading that the less number of total shares I trade in a day, the better I do! There is actually a finite number of shares that if exceeded, almost always causes me to have a losing day. Every time this happens, it’s because I am trying too hard!

- ***Trading any stock that seems to be moving:*** Even when it doesn’t match your system.
- ***Not using stops:*** At some point the fight or flight response doesn’t allow us to admit we are wrong and we just stop using stop orders altogether.

- ***The Inability to admit when you are wrong:*** There is something about our human condition that prevents us from admitting when we are wrong. It is either ego or self righteousness. Whatever it is, the stock market has a way of making you pay. Once fight or flight is triggered, it can be impossible to admit you are wrong and get out of the trade. This may lead to averaging down; a very bad behavior. By staying disciplined and using stops, you can avoid this.
- ***Overtrading***

The bottom line is:

The more desperate and triggered you become, the worse your trading becomes.

Another way of saying this is

As losses mount, the stupider you become

If you are emotional and triggered walk away! It is too bad that we tend to “fight” instead of “flight.”

The key to keeping the fight or flight response in control is to make sure you are always sticking to your system, and by keeping your positions small and manageable. The biggest tool I know of for making sure we stay focused on the system is **Mental Rehearsal**, which I will discuss in the next section.

2. **Not Having a Technical or Rules Based System or Having an Inadequate One:** Traders NEED to have a **complete system** or methodology (i.e. the EZBreakout Method). A complete trading system, whether you decide to use the EZBreakout Method or not, needs to have:

- ✓ **Precise entry points**
- ✓ **Precise exit points**
- ✓ **Risk and capital management techniques**

There are a plethora of trading systems and styles out there. Many of them are decent, but the biggest problem I see is that ***they never tell you when to EXIT***. They only give you entry points. Then they go out and claim extraordinary results. These results proclaim things like “256% Profit in 6 Months Using This System”. I promise to ***never*** give you these cheesy claims. Everybody will have different results based on their psychological ability to manage trades.

Many traders, when they first start trading, begin without a system. They think they can simply trade the news (which by itself is NOT a system) or go by some type of magical intuition. Unfortunately most of these traders learn the hard way; by taking losses.

Another key point here: No system will be 100%. It is ok to lose money on some trades. A good system will result in some losses. Don't fall into the trap of thinking your system doesn't work because you took a few losses in a row. Actually the fact that you have taken a loss might prove that system ***IS working!***

Another problem I see is that traders imagine correlations in the market that are simply not there. They think because A & B events happened in a specific order that A causes B. More often than not, these correlations or causations are not true. Make sure you find a system that has data to back it up. Or if you make up your own system, do back testing or at least do simulated trading for awhile to see if your theories work.

I am firm believer in systems for all aspects of life, be it trading, physical fitness or even managing your personal relationships. A system is something that has clear rules for all potential events, can be tested and gives you clear choices when you come to a crossroads.

3. **Having Expectations:** One of the biggest mistakes you can have as a trader is to have expectations. Expectations about:

- ✓ Market Direction
- ✓ How much money you are going to make
- ✓ Breakout direction
- ✓ News

Any expectations you have are total fabrications of your own mind. I promise you that you are telling yourself stories! When it comes to the market, every day must be taken individually and as a trader, you must learn to interpret to what is right in front of you **IN THE MOMENT**. In other words, you have to be in tune to what is happening **right now**. It's not what you think is going to happen next. Most of what you think is going to happen has a strange way of NOT happening.

If you are focused on mistakes you made in the past or afraid of making mistakes in the future (or both) you will be paralyzed. You will not have the ability to focus on what is happening right now and trading will be extraordinarily difficult.

If you have the inability to be in the moment, then you really have to explore why. I strongly suggest working with a trading coach or psychology professional to figure out why. Get downright spiritual if you have too; whatever it takes! Trading has a way of triggering every negative feeling we have about ourselves. Trading can bring all your buried personal stuff right to the surface. If you get stuck in a negative feedback loop, you can severely damage your self confidence. This is a very serious issue.

A mistake that goes along with this is **trading against the trend and trying to pick tops and bottoms in the market**. This phenomenon is totally

about having expectations. Generally, you are much better off sticking to the rule that “The Trend is Your Friend”. As a trader, learn to be *in the moment*.

Also having expectations about how much money you are going to make is definitely an error. You will make trades that are outside of the system if you have expectations of yourself. You will force trades in an effort to meet “target profits.” The only thing you should expect out of yourself is your determination to follow your system and its rules exactly. If you do this, the money will come.

4. **Underestimating the Power of Greed:** Guess what? Greed “ain’t good” when it comes to trading. One mistake I have made trading is pushing it when I am on a roll. When you make several winning trades in a row or have several great days in row, you tend to get too comfortable or even downright cocky. I guess you can think of this as almost the opposite of the “fight or flight” response. Unfortunately, the result is the same: trades that don’t match your system, not setting stops where they are supposed to be and taking on position sizes that are too big to handle. Usually, it takes several big losses to snap you out of it.

I actually had a period in which I made 5 figures a month trading, 10 out of 12 months a year for over 4 years. This occurred right before the financial meltdown of 2008. The level of cockiness and confidence I developed during those 4 years made me think I was invincible. Well, when the bear cycle started that year, I completely left my system in the dust and decided to invent a new way of trading. I traded on pure adrenalin; no system...no risk management...trading the news of the day...etc. That genius move of mine cost me dearly. It took me a pretty big series of losses to get my integrity back and a take good hard look at

what the hell I was doing! It only takes a few bad days of “losing it” to wreck a whole year’s worth of good hard work.

The bottom line is, no matter how well things are going, stick to your system!

>> By the way, I do all of the work and find the potential breakouts for you at www.EZBreakouts.com <<

5. **Trading Position Sizes that are too big to handle emotionally:** There is a ton of literature and even complete books dedicated to the topic of position sizing. I personally have never quite understood the quantitative methods that these books preach. I just take one day at a time.

The way I look at it, every trader needs to sit down and figure out exactly **how much pain they can handle on any given day**. For me personally, if I am down over \$1000 in a given day, I will trade with 1/3 of my normal position size. Down \$1500, I am pretty much done for the day. I am obviously not interpreting the day’s action properly and I need to just stop and reevaluate. I can’t take losing more than that amount (oh, and believe me, I have lost more in a day than many make in a year). I tend to beat myself up emotionally if I go beyond that point. **If you take more pain than you can handle, your fight or flight response will be triggered constantly.** Even the next day before the market opens, you will already be triggered and in survival mode. **You WILL NOT make good decisions.** Your best bet at that point is to take a few days off and let your mind relax before coming back to trading. Don’t worry, you won’t “miss” anything while you are taking a break. The market will always be there.

6. **Trying to Trade too many stocks at the same time:** This is a mistake that I have made many times. When you take on too many positions, you get information overload. You simply can't manage all the positions effectively. It's just not possible. My rule of thumb is to **NEVER carry more than 5 positions at the same time.** Remember, less is always more in trading.
7. **Being Undercapitalized:** This leads to very poor behaviors, especially the inability to take losses when they are small or take profits in a methodical fashion. **Scared money NEVER makes money.**
8. **Staying focused on profits instead of risk and trade Management:** Most people, when they first start out trading, think about all the money they are going to make. They have "Pie in the Sky" expectations. Learn to curb Expectations. The truth is that a good trading methodology's main focus should be **PREVENTING LOSSES.** This should be the trader's primary goal.
9. **Having CNBC, Bloomberg or some other TV news channel on in the background:** This might sound silly, but I promise you this is a fatal error. Having every so-called expert analyst on TV tell you where he thinks the market is going will definitely affect your trading in a subconscious way. 95% of what is on these channels are opinions, not news. Cut yourself a break. You will be glad you did.
10. **Digging for trades when there is nothing to do - AKA Lacking Patience & Discipline:** There will be days when no alerts go off or there is very little action. Don't go out "digging" for new trades. Some days, there is simply nothing to trade. Don't give in to your "need for action"! That is a gambler's mentality! Your job is to BE PATIENT and wait for the perfect setup!

11. Forcing trades just because the Indexes are up big: There will be days when the Dow, S&P and Nasdaq are up big, but very few of your alerts go off. There will be a big temptation to dig for a winner. You will feel like you are missing something! Don't give in to the urge! Sometimes, there are just days when the markets move up and there are few, if any, good trades. Believe it or not, having the Dow up 150 can be more of a distraction than an asset to you. Again, your job is to be patient and wait for the perfect set-ups.

12. Assuming there are no good trades because the indexes are down: Sometimes, when the market is down, the best trades show up (I am not talking about when the Dow is down 300 or more). Don't stop watching or assume nothing will work because the indexes are down.

Summarizing numbers 8, 9 & 10: Don't allow the indexes to have too much influence on your trading. A big up day or a big down day can truly affect your decision-making. Read the "Big Picture" article in the *IBD* if you don't know the current trend.

13. Not Taking Responsibility for your Own Actions: Sounds strange, but I have heard so many traders blame others for losses they have taken. They blame the market, the president, the analysts or some other person or event for actions that they have taken themselves. Remember, you own every decision you make. Truth be told, I am a day trader. The reason I close out trades at the end of each day is because I have no idea what is going to happen overnight in the world markets or world events that could influence the stock market the next day. Quite frankly, I refuse to blame some terrorist organization, Greece or an earthquake for losses.

14. Thinking that Trading is Easy: As you probably are already aware, trading is not easy. Although it can be tremendously rewarding, trading also is quite demanding. It requires tremendous skill, patience and discipline. It

also requires you to do a tremendous amount of homework; that is, studying and evaluating charts during non-market hours. Anyone who tells you different hasn't been trading for very long. The best traders are the ones who have made a commitment to do what it takes to become a success. Once you've made that commitment yourself, you've taken your first step toward trading success.

Mental Rehearsal

The best tool to literally "program" your mind to follow your rules and your system is called Mental Rehearsal. Mental Rehearsal, also known as Visualization is a technique that allows you to "rehearse" or "mentally practice" actions and behaviors, ***and the feelings associated with them***, within your mind before you actually do them. It is a tool that allows you to calmly and rationally go through the tasks you need to perform, in fine detail, exactly the way you want to before you do it in real life. If practiced on a regular basis, this technique can prevent your fight or flight response from getting triggered during more challenging and volatile periods. This will allow your higher problem-solving skills to be in control at all times.

In life, we perform Mental Rehearsals all the time, usually in a very negative way. For example, if your spouse calls you and says "We need to talk" you might go through a very painful mental rehearsal, or visualization, in your mind. Our minds tend to have a negative default setting for certain triggers. This is natural because maybe in the past you've had messages like this that have resulted in a big confrontation. The thing is, your partner might want to talk to you about anything. What you're having for dinner that night, if you want to go to a party on Saturday or what you're going to watching on TV, but due to a past experience, your brain instantly assumes the worst.

Purposeful Mental Rehearsal allows us to actually mentally practice scenarios, behaviors and **even specific feelings** in our mind, so that when they happen in real life we know exactly what to do to have the outcome go our way.

Mental Rehearsal works because when we visualize events and the feelings that go with them, the mind doesn't differentiate between what is real and imagined. So in the above example, if your spouse said to you, "We need to talk", you might have visualized events that resulted in an actual feeling or emotion that was very powerful.

Purposeful Mental Rehearsal breaks that cycle by allowing you to experience an event in your imagination in a calm relaxed manner and actually walk through how you would handle the situation before the "fight or flight" response kicks in. You actually get to practice behaviors in your mind before they happen in real life.

There are many good resources on Mental Rehearsal online. I truly suggest you go deep into this topic, as I have found it to be VERY effective. I practice guided Mental Rehearsal on a daily basis. Visualization, meditation, neuro-linguistic programming (NLP), affirmations and even hypnosis are all very closely related to Mental Rehearsal.

Chapter 9: How to Trade Newer Issues

We have all heard about the hot IPO that gaps up on the first day of trading. Unfortunately, most of us regular folk have no way to participate in these deals. Unless you're a fund manager with accounts at Goldman Sachs or Morgan Stanley, you will probably never get to participate in a hot IPO.

First rule of thumb: **NEVER Trade an IPO on the first day of trading.** You have no basis to determine which way the price will go. It's pure gambling.

However, I have found a way to trade newer issues that works very nicely. I define newer issues as issues trading anywhere from 5 days to about 2 years. The most interesting thing about newer issues is that they don't necessarily need to have VOLUME to breakout. While some newer issue breakouts will have above average VOLUME, others will not.

Additionally, Relative Strength (RS) is meaningless for stocks trading less than a year, according to the way it is calculated by *IBD*.

I love trading newer issues because in a bull cycle, they have a tendency to go into some very strong runs. The reason this happens, I believe, is the lack of float. When a new deal comes out, usually after the first few days or weeks of trading, investors who wanted to flip out already have and then the rest of the float becomes tightly held by institutions. This can create a vacuum.

The key is to keep an eye on the Daily Charts for handles, High Handles & Flat Base/Trend line formations. Generally, these are quick short-term trades and can be very profitable.

Let's take a look at a few to show you what I mean.



As you can see, China Lodging Group (HTHT: Nasdaq) broke out from a 5-day handle formation and became a nice trade. Again, once a stock crosses your buy point you use the exact same trade management rules. That is, using the 9 EMA on the 5 Minute Chart to manage your stop. Once you are out of the trade you can wait for the 60 Minute and/or the 5 Minute Charts to set up again.

Here is another:



Sensata Technologies (ST: NYSE) made a perfect flat and tight handle after going public in March 2010. Here are a few more:





As you can see, newer issues can lead to some extraordinary trading opportunities. Even after 6 months or a year, newer issues seem to have a way of creating some great trades.

In addition to posting 10 of the best chart set-ups, I include the best looking newer issue charts on www.EZBreakouts.com daily updates. Again, I do all of the work for you!

Chapter 10: How to Short Stocks Short Term

Over the years, I have begun to develop a system to short stocks (trade stocks for a move lower) for day trades. Truth be told, this shorting method is more difficult and I have not tested as extensively as I would one day like too. Correspondingly, my percentage of winning trades has been somewhat lower than buying long via the EZBreakout Method. It takes practice and discipline. However, it does work and can lead to some huge trades.

What William O'Neil briefly mentions in his book is true; ***stocks rarely trade at 85% or more above the 200 day moving average.*** It seems that after awhile, gravity takes over on these stocks and they sell off. Sometimes, the sell off lasts just for a few days, and other times these stocks go into major corrections. It would seem that these stocks have just become too extended and fund managers are happy to take their profits.

What I do is create a list of all stocks that are 85% and more above the 200 day moving average and analyze each one. Usually this list is less than 20 or 25 stocks. I don't want cheap stocks, stocks with low average daily VOLUME or stocks with extremely small floats (less than 10 million shares).

After I create the list, I go through the following steps:

1. I cross out any biotech or pharmaceutical companies that might get some type of FDA approval in the short-term.
2. I cross out any stock that recently had a reorganization or a reverse stock split.
3. I make a note of the stocks that have any extreme short positions because these short holders can actually prevent the stock from dropping.

4. I look at the 60 Minute Chart of each stock and try to establish a trend line. This trend line should last at least 1.5 weeks long. Be careful to locate the stocks that are in a significant **uptrend**, rising almost every day with higher tops and higher bottoms. You DO NOT want to short a stock that is forming a High Handle! I figure the price where the trend line will be broken and set my alerts accordingly.

When the trend line is broken, I will begin to short the stock for a trade. Sometimes, a stock breaks the trend line and bounces off the first support line on a 60 Minute. It then may make some type of topping pattern, such as a Double Top or Head & Shoulders top on 60 Minute Chart, before breaking down significantly. This type of top may take a few days to form. It takes some patience to follow these formations, but **don't give up!** Eventually these stocks head back to test the 50 day moving average.

The same risk and trade management rules apply when entering these short positions. You set your stop loss (buy to cover) order a few pennies **above** the 9 EMA on the 5 Minute Chart. If the stock does come down, you adjust your stop downward accordingly with the 9 EMA. Additionally, if you catch these right, sometimes these stocks make very sharp breaks and get extended below the 9 EMA on the 5 Minute Chart. Then use the 1 Minute 9 EMA for $\frac{1}{2}$ or $\frac{2}{3}$ of your position. Many times, the 9 EMA on the 5 Minute Chart will work very well and keep you in the position much longer than you ever would think possible.

Let's take a look at a few charts. I am going to skip the daily charts and you can just assume these stocks meet my criteria and are above 85% of the 200 day moving average. Here is Houston American Energy Corp (HUSA: Nasdaq):

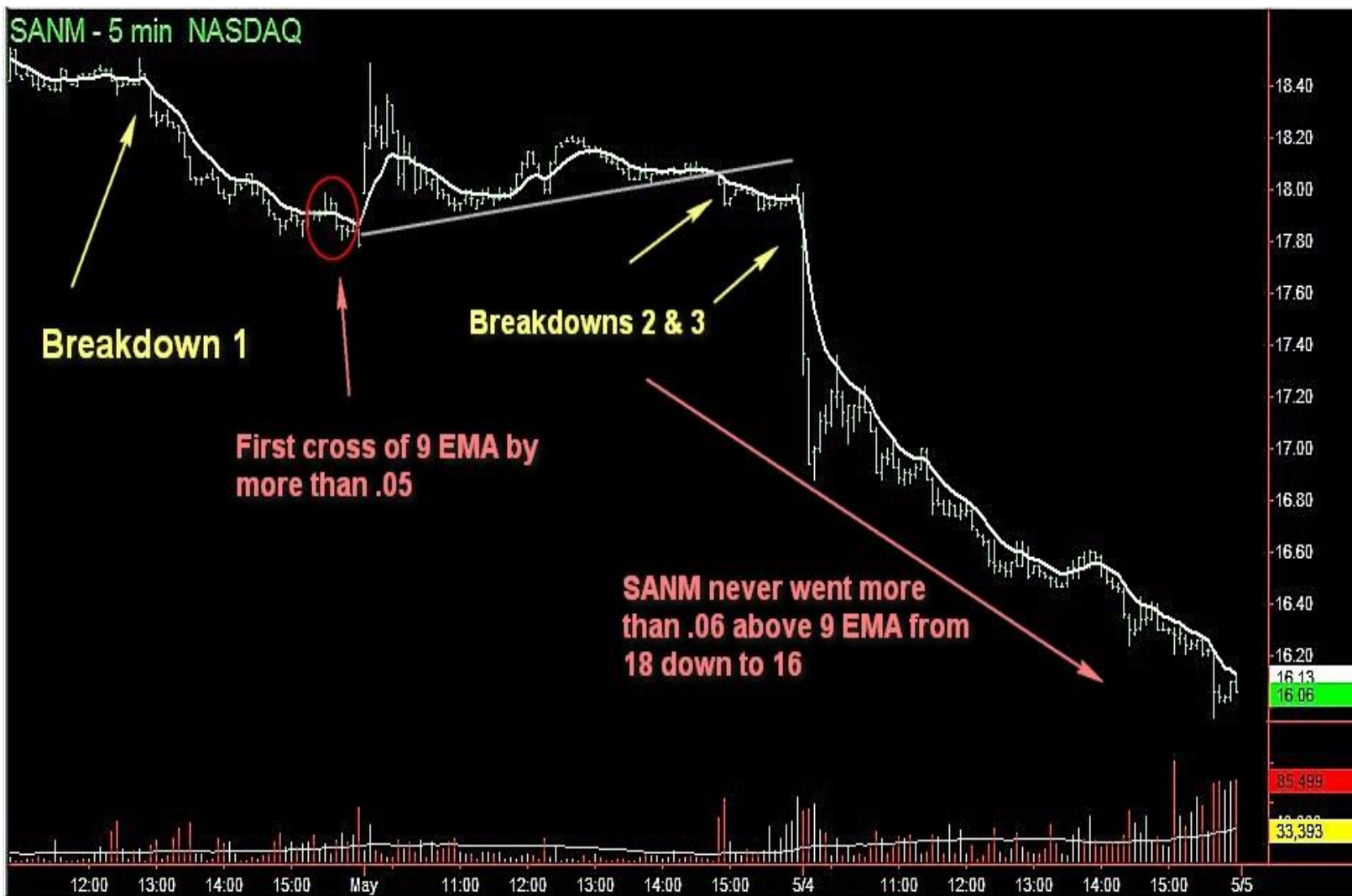


HUSA actually got to a level more than 300% above the 200 day moving average before it finally took a hit. It traded perfectly off the 60 Minute Chart. You might have been able to draw a slightly steeper trend line and argue that it broke it on March 31st. If you traded that line, you would have been stopped out very quickly or had a small loss. The point is to continue to watch them even if you get stopped out initially. At some point, they are going to make a top and break down.

Here is Sanmina (SANM: Nasdaq)



As you can see SANM went on a tear. If you were to investigate the Daily Chart, you would find that SANM was around 6.00 back in November 2009 and had quite a move. In its final run, SANM had one break of the trend line that created a false signal. Again, you would have been quickly stopped out. The smart thing to do was to wait for the chart to set up again. As you can see, SANM set up a series of good shorts a few days later. Just to show you what I mean, take a look at the 5 Minute Chart of SANM on this last break down:



As you can see, SANM traded very well along the 9 EMA on the 5 Minute Chart. In fact, during the last breakdown you would have been short the entire day and picked up 2 points. Stocks tend to fall faster than they rise!

Let's have a look at one more. This is Radian Group (RDN: NYSE):



This opportunity to short RDN is definitely harder to interpret. After RDN initially violated its trend line, it proceeded to form a double top. The breakdown from the double top is a potential area to short (note that a double top breakdown could be interpreted as a failed Cup & Handle). It was definitely a short when it broke the support line.

In summary, using this method to short stocks can be effective and profitable. However, it does take practice and again requires further testing and refining. I

would suggest that you short these in a simulated account before you try using real money. It is trickier than typical EZBreakouts and will require some practice.

Chapter 11: Putting it All Together

Just to summarize the EZBreakout Method one more time:

- ✓ Know the Market Direction
- ✓ Develop a list of stocks that have the highest probability of breaking out
- ✓ Isolate and Study the best charts on the list and determine the exact breakout point (**D605**)
 - Start with the Daily Chart
 - Move to the 60 Minute Chart
 - Zoom to the 15, 5 or even 1 Minute Charts to determine buy points
- ✓ Buy the stocks that trigger your Breakout alerts
- ✓ Use the 9 EMA on the 5 Minute Chart as your guide to setting your stops
- ✓ Know the Do's & Don'ts & Understand the psychology that can lead to trading errors and mistakes
- ✓ Do Mental Rehearsal

Here is the best part. **I personally will eliminate MOST of the work for you!** At www.EZBreakouts.com . I do all of the analysis you need in terms of chart reading. I isolate the best charts for day and swing trading and post them by 8 PM Eastern time.

Thank you for taking the time to read my Ebook. Hopefully, you found something of value. Something that will help you make more money in the future.

If you have any questions or comments, please feel free to email me at EZ@EZBreakouts.com .

I sincerely wish you Good Luck with all your trading and market endeavors.